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May 30, 1997

To: Members of the Executive Board

From: The Secretary

Subject: **Chad—Staff Report for the 1997 Article IV Consultation and Midterm Review Under the Second Annual Arrangement Under the Enhanced Structural Adjustment Facility**

Attached for consideration by the Executive Directors is the staff report for the 1997 Article IV consultation with Chad and the midterm review under the second annual arrangement under the Enhanced Structural Adjustment Facility, which is tentatively scheduled for discussion on Friday, June 13, 1997. A draft decision appears on page 22.

Mr. Plant (ext. 38736) or Mr. Abdoun (ext. 38394) is available to answer technical or factual questions relating to this paper prior to the Board discussion.

Unless the Documents Preparation Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the WTO Secretariat on Monday, June 9, 1997; and to the African Development Bank (AfDB) and the European Commission (EC), following its consideration by the Executive Board.

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INTERNATIONAL MONETARY FUND

CHAD

Staff Report for the 1997 Article IV Consultation and Midterm Review Under the Second Annual Arrangement Under the Enhanced Structural Adjustment Facility

Prepared by the African Department

(In consultation with the Legal, Monetary and Exchange Affairs, Policy Development and Review, Statistics, and Treasurer's Departments)

Approved by Ernesto Hernández-Catá and Chanpen Puckahtikom

May 29, 1997

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EXECUTIVE SUMMARY

Background

A three-year arrangement under the ESAF, in an amount equivalent to SDR 49.56 million (120 percent of quota), was approved on September 1, 1995. The second annual arrangement was approved on October 16, 1996. In 1996, Chad held its first pluralistic presidential and parliamentary elections since independence.

Performance under the 1996/97 program

Economic and financial performance in 1996 was mixed, while implementation of structural reforms proceeded broadly as foreseen in the program. The authorities are requesting waivers for non observance of six performance criteria at end-December 1996.

- Real GDP growth was only 2.7 percent, because unfavorable weather conditions hampered agricultural output which declined by some 3 percent. Inflation during the year was 10.5 percent, somewhat higher than envisaged.

- Fiscal performance was mixed. Government revenue was close to target, but end-December performance criteria on the nonmilitary wage bill, the current fiscal deficit and the repayment of domestic arrears were missed because of expenditure overruns. Total clearance of external arrears (end-December performance criterion) could not be achieved, in large part because of delays in completing bilateral negotiations on a small amount of arrears.

- The end-December performance criterion on net bank credit to government was observed, but the performance criterion on net domestic assets of the central bank was missed.

- Regarding structural reforms, the privatization program moved ahead well; the sugar company's monopoly on sugar imports was lifted and a new producer price mechanism for cotton was put in place. The end-December performance criterion on the provisional study on the disengagement of the state from the cotton sector was observed. The provisional report on the disengagement of the state from the electricity sector (a performance criterion for end-December 1996) was delivered by the consulting firm only in early March 1997.

- There has been no noticeable improvement in the quality of statistical data. Chad's technical assistance needs in statistics were recently assessed by a World Bank team.

Outlook for 1997

- The authorities have taken strong actions to make up for the 1996 fiscal slippages and to meet program targets. Adjustments to the 1997 budget were made that would bring the fiscal current account close to balance. Measures to restrain expenditure include retrenchment

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of some 1,700 inefficient employees; a 50 percent cut in personnel indemnities; a freeze on wages and a freeze of the financial impact of advancements; a sharp reduction of the budget appropriations for nonpriority sectors; and a strengthening of the control on expenditure, including a tightening of control on military spending. The government's approach to civil service reform has been refocused on a set of locally designed measures, the implementation of which could start in early 1998.

- Structural reforms will focus on parastatals with a view to setting the stage for concrete actions in the context of the third annual arrangement. These actions include abolishment of the cotton company's monopoly on cotton ginning and fiber marketing, government disengagement from the sugar company and placement of the electricity and water company under private management.

- Chad's balance of payments medium and long term outlook appears favorable, and its external debt service obligations over the medium and long term appear to be sustainable.

Staff position

- Although expenditure problems were severe in the first half of the program year, the authorities have taken credible measures to bring the program back on track. It is on the strength of these measures, and on the fiscal outcome through end-April, that the program can go forward.

- Progress made in the mobilization of revenues should continue. The actions to redress the expenditure control problem should be implemented rigorously.

- Capacity for budgetary management, especially expenditure control, should continue to be strengthened.

- Civil service reform should be accelerated.

- Implementation of key structural reforms of the parastatal sector is critical.

- The statistical system should be strengthened.

- Waivers for the nonobservance of performance criteria should be granted on the strength of remedial measures taken.

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I. INTRODUCTION

1. The discussions for the 1997 Article IV consultation and the midterm review of the second annual ESAF arrangement for Chad were held in N'Djaména during the period February 25-March 14, 1997.[1] A three-year arrangement under the ESAF, in an amount equivalent to SDR 49.56 million (120 percent of quota) was approved on September 1, 1995 (EBS/95/139). The second annual arrangement in an amount of SDR 16.52 million (40 percent of quota) was approved by the Executive Board on October 16, 1996 (EBS/96/70), and the first disbursement was effected on October 31, 1996. The second disbursement, in an amount of SDR 8.26 million, is subject to completion of the midterm review. The attached letter from the Minister of Finance and the Minister of Planning and Cooperation, dated May 5, 1997 (Appendix II), reviews the progress made under the program during the year 1996, sets out the policies and measures to be implemented for the remainder of the program year, and requests waivers for the nonobservance of certain performance criteria.

2. As of the end of April 1997, Chad's outstanding use of Fund resources amounted to SDR 44.6 million, equivalent to 108 percent of quota. Assuming full disbursement of the loans under the three-year ESAF arrangement, and taking into account repayments and repurchases due during the three-year arrangement period on previous SAF loans and purchases under the 1994 stand-by arrangement, Chad's financial obligations to the Fund would amount to SDR 57.8 million, or 140 percent of quota, at end-June 1998. Effective June 1, 1996 Chad accepted the obligations of Article VIII, Sections 2, 3 and 4 of the Articles of Agreement of the Fund.

3. Chad is on the standard 12-month consultation cycle. In concluding the last Article IV consultation on May 22, 1996, Directors encouraged the authorities to step up revenue mobilization by expanding the tax base and tightening the monitoring and control of exemptions. Directors considered that the tight financial situation required appropriate control of the wage bill and welcomed the authorities' intention to undertake a major reform of the civil service.

4. Chad's program of structural reform continues to receive support from various donors. In 1996, the World Bank supported these reforms through a US$30 million Structural Adjustment Credit (SAC), and a Development Credit of US$9.5 million aimed at building economic management capacity. A new SAC of US$25 million is scheduled to be considered by

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[1] The Chadian representatives included President Déby, the Minister of Finance, the Minister of Planning and Cooperation, the ministerial committee responsible for the implementation of the structural adjustment program, and other senior officials. The staff team consisted of Mr. Plant (head), Mr. Briffaux, Mr. Abdoun, Mr. Wieczorek (EP), all AFR, Mr. Fievet (STA), and Ms. Dubost (assistant-AFR). Mr. Barro-Chambrier, Alternate Executive Director for Chad, participated in the discussions. The staff worked closely with a team from the World Bank.

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the World Bank Executive Board in mid-June 1997. Other multilateral donors supporting Chad's adjustment effort include the European Union and the African Development Bank. Summaries of Chad's relations with the Fund and the World Bank Group are provided in Appendices III and IV, respectively.

5. There has been no noticeable progress in improving economic statistics since the last Article IV consultation; the quality, coverage, and timeliness of statistical information remain poor (Appendix V). Chad's technical assistance needs in statistics were recently assessed by a World Bank team and its report will be made available shortly.

II. Recent Developments and Performance Under the 1996/97 Program[2]

6. **Considerable progress was made in 1996/97 in consolidating democracy in Chad.** In April 1996 a new constitution was approved and a democratically elected President was sworn into office in August. In April 1997, a pluralistic and democratically elected parliament was installed. A new government was installed in May. Political support for the structural adjustment program remains strong.

7. **Economic and financial performance in 1996 was mixed**, while implementation of structural reforms proceeded broadly as foreseen in the program. Real GDP growth was 2.7 percent, well below what was envisaged in the program, because unfavorable weather conditions hampered agricultural output in certain areas of the country (Appendix I, Table 2). Value added in the agricultural sector declined by 3 percent, as a 30 percent increase in cotton output was more than offset by a drop in the production of foodstuffs, the latter accounting for slightly less than 30 percent of GDP. Other sectors performed well, however, with strong growth in the industrial sector (6 percent) and in construction and public works (9 percent). Inflation in 1996 was higher than expected; persistent pressures on the prices of foodstuffs and basic commodities drove up consumer prices by some 13 percent during the first half of the year. This reflected the effect of the drought on agricultural markets and irregular supplies of petroleum products. There were also bottlenecks in the supply of other goods in the face of an increase in the domestic demand, which was partly fueled by the resumption of regular payments of civil service salaries and payment of salary arrears. However, prices stabilized in the third quarter before declining by 3 percent in the fourth quarter; inflation during the year was 10.5 percent (December to December).

8. **Fiscal performance in 1996 was mixed**. Government revenue was close to target, but end-December performance criteria on the non-military wage bill, the current fiscal deficit, and clearance of domestic arrears were missed. Government revenue grew by 33 percent over 1995 to CFAF 59.6 billion (9.9 percent of GDP), about CFAF 2 billion short of the program target

[2]The second annual ESAF program covers the period July 1, 1996–June 30, 1997.

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(Appendix I, Table 4).[3] This increase in revenue mobilization was due to sustained efforts to streamline the various tax agencies and improve coordination between their respective staffs; the result was substantial improvement in tax assessments and tax collection procedures as well as an increased recovery of back taxes. Taxes on international trade increased by 52 percent, income taxes by 38 percent, and taxes on domestic goods and services by 68 percent. Collections of taxes on goods and services could have been higher if the yield on petroleum taxes had not been hampered by disruptions in the supply of petroleum imports throughout the year. Nontax revenue also exceeded program projections.

9. **Total current expenditure rose in 1996** to CFAF 77.2 billion (12.8 percent of GDP), CFAF 2.8 billion more than envisaged in the program (Appendix I, Table 4). Overruns in current primary expenditure totaled CFAF 6.7 billion, with the nonmilitary wage bill accounting for CFAF 0.8 billion, defense spending for CFAF 3.7 billion, and material and supplies for CFAF 4 billion; transfers were lower than programmed by CFAF 1.6 billion.[4] The overrun in the nonmilitary wage bill resulted from (i) an unanticipated high rate of regularization of workers who had been suspended in connection with administrative irregularities revealed by the 1995 civil service census; and (ii) high mission and travel costs of government personnel. The overrun in defense expenditure was traceable to an increase in the number of monthly wage installments received by the military.[5] Excess spending in material and supplies was concentrated in nonpriority sectors, mainly the Presidency, the Prime Minister's office, and the Ministry of Security, and stemmed primarily from abuses in the use of an exceptional procedure allowing payment of expenditure before establishment of a regular payment order (*dépenses non ordonnancées*). In contrast, only 80 percent of the funds budgeted for the priority sectors of health, education, social affairs and public works were committed. While election outlays and interest payments on domestic and external debt were on target, only CFAF 0.3 billion of the CFAF 5 billion budgeted for military demobilization was spent because of logistical difficulties in physically removing soldiers from active duty.

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[3]Revenues could have been some CFAF 1 billion higher if the cigarette company, MCT, had not withheld its 1996 tax payments because of a dispute with the Ministry of Finance on the tax regime to which it was subject. The dispute was settled in March 1997 and payment of overdue taxes by MCT will be made this year.

[4] Current primary expenditure excludes spending on elections, demobilization, and interest.

[5]Since 1993, the military in Chad has been paid on a lump-sum basis with actual payments amounting to about half of nominal wages. In 1996, this amount was increased to three-fourths.

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10. The current **fiscal deficit** reached CFAF 17.6 billion (2.9 percent of GDP), almost 1 percent of GDP above the program performance criterion of CFAF 12.4 billion.[6] Investment expenditure amounted to CFAF 74.6 billion, 14 percent higher than in 1995, and was targeted at roads, health, and education, as well as agricultural and rural development. The overall fiscal deficit (on a commitment basis, excluding grants) was equivalent to 15.4 percent of GDP.

11. The budgetary slippage registered in 1996 slowed the payment of **domestic arrears**: the government reimbursed only CFAF 9.5 billion of domestic arrears, as against a program target of some CFAF 17 billion. Nevertheless, the government cleared some CFAF 18 billion of **external arrears**, of a total end-1995 stock of CFAF 22 billion. However, the performance criterion on external arrears was not observed, since there remained at end-December 1996 a residual stock of arrears of some CFAF 4 billion, in part because bilateral negotiations with creditors could not be completed (Appendix II, paragraph 6).[7]

12. **The external current account deficit (excluding official transfers)**, taking into account an increase of some CFAF 7 billion in private transfers, declined to 19.4 percent of GDP from 20.5 percent of GDP in 1995, despite a deterioration of 4 percent in the terms of trade.[8] Exports receipts rose by 6 percent despite lower proceeds from cotton exports, owing to a decline in prices (Appendix I, Table 5). Imports rose by some 11 percent, in line with a substantial increase in public and private investment. With a strong capital account, the overall balance of payments registered a surplus of CFAF 6.7 billion, and Chad's contribution to the official reserves of the regional central bank, the Banque des Etats de l'Afrique Centrale (BEAC), is estimated to have increased by CFAF 8.5 billion.

13. **Money supply** growth was 19.8 percent in 1996, some 6 percentage points ahead of nominal GDP growth (Appendix II, Table 6), led by a strong demand for currency, reflecting larger cottonseed purchases (up 30 percent) and a rise of 20 percent in the producer price of cotton. Demand deposits increased by only 5 percent, and there was a decline in time and

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[6]The current fiscal deficit is total revenue (excluding grants) minus total current expenditure.

[7]The end-1995 stock of external arrears was recently updated to take into account some CFAF 21 billion of arrears to Kuwait, which were previously considered by the authorities as having been canceled by the creditor country. Taking into account these arrears, which were either rescheduled or canceled on terms comparable to Naples' terms, the reduction in arrears in 1996 is CFAF 39.2 billion.

[8]The official balance of payments data for 1994 were recently issued by the central bank and showed a profoundly different structure of the balance of payments than had been previously estimated. The impact of these changes on the estimates for 1995-96 makes the comparison between program projections and estimates for 1996 difficult.

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savings deposits.[9] **Demand for credit** by the private sector was much stronger than envisaged in the program and, as a result, there was only a slight improvement in the net foreign asset position of the banking system. The increase in credit demand by the private sector reflected in large measure the financing needs of the cotton company, but also an expansion in import financing. Net claims on the government increased by 8 percent of the beginning money stock and reflected mainly the use of Fund resources; the performance criterion on net credit to the government by the banking system was observed. The heavy demands for credit associated with the cotton campaign caused bank reserves to drop by CFAF 2.7 billion in 1996, while the banks' recourse to central bank refinancing increased by CFAF 6.7 billion. As a result of the latter, the performance criterion on the net domestic assets of the central bank was missed by CFAF 4 billion. Regarding interest rates, Chad's minimum deposit rate, which was kept unchanged at 5.5 percent since end-1994, was reduced to 5 percent in October 1996, while the maximum lending rate, which is set at 7 percentage points above the penalty rate remained at 22 percent.

14. Regarding **structural reform**, progress was made in several areas in 1996 (Appendix II, paragraph 14). The privatization program was accelerated, a cotton producer price mechanism for 1997/98 was adopted by the government, and the provisional study on the disengagement of the state from the cotton sector was completed as scheduled at end-December (performance criterion). Developments in the sugar sector include the elimination of the import monopoly held by the local sugar company SONASUT in early 1997, and the launching of the study on the government's divestiture of this company in April 1997. The provisional report on the disengagement of the state from the electricity sector (a performance criterion for end-December 1996) was delivered in early March 1997, with the consulting firm bearing the responsibility for the delay.

[9]Caution is required in interpreting monetary statistics in Chad, as a substantial stock of unsorted BEAC banknotes remain at the national agency of the BEAC in Chad. Staff figures assume that 50 percent of the unsorted bills are Chadian bills (thus bills not in circulation) and that the other 50 percent are non-Chadian bills and are treated as foreign assets. The stock of unsorted bills was equivalent to CFAF 20 billion at end-1996, as against CFAF 30 billion at end-1995.

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Box 1. Banking Supervision

The mission met with the Secretary General of the Central African Banking Commission (COBAC), the banking supervisory authority in the Central African Economic and Monetary Union (CAEMC) zone, and members of his staff to discuss systemic banking issues in Chad

The banking system is relatively small, consisting of five commercial banks and one development bank. The principal problems faced by the banks include (a) the large amount of outstanding credit to the government, which according to COBAC rules is included as a 100 percent risk in the calculation of the capital adequacy ratio, (b) weakness in the judiciary system with respect to contract enforcement, which results in banks exercising the utmost prudence in extending credit, and (c) the perception of a volatility of deposits, which causes the banks to maintain high levels of liquidity.

The COBAC uses five prudential ratios to assess the banks' situation: capital adequacy, coverage of fixed assets, division of risk, liquidity, and risk of transformation.[1] Although over the last few years the COBAC considers that much progress has been made in improving the banks' situation in Chad, there remain serious problems. In particular, two banks, which together account for about 80 percent of both deposits and credit, did not meet the capital adequacy ratios established by the COBAC. Problems at Banque Meridien BIAO du Tchad (BMBT), which was also illiquid, stem from the 1995 collapse of its parent company, the Meridien Group. In March, the BMBT was taken over by a group of private investors who provided some additional measure of capitalization. The other large bank in difficulty was the state-owned Banque Tchadienne de Crédits et Depots (BTCD), which had a comfortable liquidity position but was in need of additional capital; the government is now looking for a technical partner to invest in and manage the BTCD. The three smaller banks met all the prudential requirements.

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[1] For more details see Occasional Paper No. 138, *Aftermath of the CFA Franc Devaluation*.

III. Report on the Discussions

B. The Economic Outlook

15. **The potential for economic growth** in Chad remains constrained by the lack of basic infrastructure and the scarcity of skilled human capital. However, the authorities were confident that the policy framework that is in place—with heavy emphasis on the liberalization of the economy, the enhancement of private sector development, and the tightening of the government's fiscal stance—would improve factor productivity and strengthen external sustainability, thus enabling the economy to grow at a sustained rate of 5-6 percent a year over the medium term (Appendix I, Table 2). Prospects for growth beyond 2000 appear to be even more favorable; the authorities expect that, by that date, the public investment program currently under way will be bearing fruit and the exploitation of the country's oil resources will have begun; thus, economic growth could reach some 8 percent per year.

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16. Consistent with these objectives, **the medium-term macroeconomic framework** has domestic absorption declining gradually to 112 percent of GDP by 2000, as against 117 percent in 1996, on account of a reduction of the consumption/GDP ratio by some 8 percentage points and an increase of 3 percentage points of GDP in investment (Appendix I, Table 3). As political and economic stability is consolidated, the rise in investment, to 22 percent of GDP by 2000, will be driven by the private sector. Additional investment requirements are to be fully financed by an improvement in national saving; private saving would increase by 1.8 percentage points of GDP while government saving would more than double, to 4.6 percent of GDP, by 2000.

17. The authorities were confident that **real GDP growth in 1997** would reach some 6 percent, buoyed by a recovery in agriculture (assuming a return to normal climatic conditions), continued growth in the industrial sector, and a strong expansion of the construction and public works sector spurred by a further increase in public and private investment. Prices declined by 3 percent during the first quarter of the year, as food prices fell and import bottlenecks were cleared; given seasonal patterns in prices, this suggests that the program projection of 5.1 percent inflation during 1997 is likely to be met.

B. Financial Policies

18. The authorities viewed the 1996 expenditure overruns as a reminder of the need for tighter financial discipline, particularly strong expenditure control, to achieve a **sustainable fiscal position**. There was a consensus that every effort should be made to compensate for the 1996 fiscal slippages. Consequently, the authorities took swift actions to improve government finances in an attempt to achieve the program objectives. In March 1997, they enacted a supplementary 1997 budget, which strengthened the fiscal outlook for the year. A new revenue target was set at CFAF 74.3 billion (11.2 percent of GDP), about CFAF 2 billion higher than originally budgeted. Current expenditure, including demobilization, was capped at CFAF 74.9 billion (11.3 percent of GDP), CFAF 3 billion lower than in the first budget. These adjustments are intended to bring the fiscal current account close to balance, and the overall fiscal deficit to the equivalent of 12.5 percent of GDP (Appendix I, Table 4; Appendix II, paragraph 15).[10] In addition, comprehensive changes were made in the senior staff of the Ministry of Finance, with a view to improving the management of the public finances.

19. **To reach the new revenue objective,** the government is relying first on the tax measures provided for in the program and incorporated in the 1997 budget law.[11] Additional measures were included in the supplementary budget, including the elimination of turnover tax

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[10]To make a comparison with original program figures, the postponement in disbursement of the funds earmarked for demobilization must be accounted for. Such an accounting shows the current and overall fiscal balances in 1997 about 0.7 percentage point of GDP stronger than in the original program.

[11]For details, see EBS/96/160, Appendix II, paragraph 17.

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(TCA) deductibility on transport, the extension of the TCA to wholesale and retail sale activities, and the implementation, effective July 1, 1997, of a budgetary control mechanism for import duty exemptions following finalization of the design of its modalities (Appendix II, paragraphs 15 and 16). The authorities expect a substantial improvement in the yield from the TCA because the unit to track major taxpayers is now fully operational, the single taxpayer identifier system has been strengthened, and a delinquent taxpayer monitoring system has been established. Revenues from petroleum taxation are also expected to rebound, following a return to normal of import activity and the ongoing efforts by the petroleum taxation office to combat fraud.

20. Although **customs revenues** have been increasing substantially since 1995, they remain below potential. Thus, strong efforts to modernize and strengthen the customs directorate will be pursued, in particular with regard to collecting the TCA on imports. Improvements in the administration of **direct taxes** will continue to focus on a better assessment of the informal sector tax base and on increased collections of overdue taxes.

21. **To restrain expenditure**, the government has (a) taken the measures to bring the 1997 non-military wage bill within the program ceiling, including retrenchment of some 1,700 inefficient employees (see paragraph 22), a 50 percent cut in indemnities, a wage freeze, and a freeze on the financial impact of advancements, (b) explicitly prohibited expenditures outside normal budgetary channels (*dépenses non ordonnancées*) through a presidential decree, and has given the Minister of Finance the necessary enforcement powers; (c) reduced the budget appropriations for nonpriority sectors by 23 percent in nominal terms, as compared with 1996 expenditure; and (d) introduced a system for the monthly control and monitoring of military expenditures. In the meantime, the budget for the priority social sectors has been increased by 60 percent over 1996 expenditure (Appendix II, paragraphs 17-19). To exert better control on expenditure, monitoring of overall budget execution will be enhanced (Appendix II, paragraph 22). The next public expenditure review by the World Bank staff, scheduled for the second half of 1997, will focus on the priority sectors, including redressing weaknesses in expenditure management in these sectors.

22. The **fiscal results during the first four months of 1997** are encouraging and confirm the authorities' determination to achieve program objectives. **Revenue during the first quarter of 1997** is estimated to have reached CFAF 12.3 billion, slightly exceeding the revised program target, and current expenditure totaled some CFAF 16.2 billion, well below program target, with the wage bill accounting for CFAF 8.1 billion. Although the latter was slightly above what was envisaged, excluding expenditure on temporary employees and travel and mission outlays, wages were CFAF 2.4 billion in March and CFAF 2.35 billion in April, which is consistent with the annual overall objective. As can be seen from the performance criteria table (Appendix I, Table 1a), external financing in the first quarter fell short of that envisaged in the program by some CFAF 5.9 billion, while the authorities overperformed with respect to the

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benchmark for domestic arrears. The resulting cash shortfall was in part compensated by the better-than-expected current fiscal balance. However, it also required the authorities to run down their cash balances, thus pushing their net position with the banking system and the net domestic assets of the central bank above program targets.

23. The staff team expressed its concern that little progress had been made in advancing **civil service reform**. The authorities reiterated their commitment to such reform; however, following the advice of the World Bank staff, the government has decided to revise its strategy in this area and to adopt a pragmatic approach that would eschew a large donor-financed study on civil service reform. Instead, the government, in consultation with social partners, would design its own program, seeking well-targeted technical assistance where needed. To that end, a national commission, headed by the Prime Minister, was appointed in March 1997 to formulate, by end-1997, a set of practical and easily implemented recommendations focusing on the reform of the civil service statutes, management issues, and redefinition of the technical functions of ministries and government agencies (Appendix II, paragraph 15). In the interim, the authorities have begun a retrenchment program aimed at employees who are inefficient or whose conduct is incompatible with their positions. The goal is to retrench 1,700 such employees by the end of June 1997; 1,300 employees had been dismissed as of end-April.

24. The government successfully completed the most recent phase of **military demobilization** in late April 1997 (Appendix II, paragraph 20), reducing the size of the army to 19,000 men.[12] A reintegration program for demobilized soldiers is being prepared; with the financial assistance of the World Bank, a pilot program will be launched soon and a more comprehensive program will be considered at a donors' round table slated for the end of 1997. Defense spending in 1997 should therefore be held at 1.4 percent of GDP.

25. **The financial situation of the social security system remains fragile**. The civil service retirement fund (CNRT) continued to suffer in 1996 from a lack of funding. Government transfers totaled only CFAF 0.7 billion, while financial requirements for regular payment of benefits are estimated to be CFAF 2 billion.[13] As a result, the pension fund paid only three months of benefits in 1996.[14] The National Social Insurance Fund (CNPS), which covers the private sector, is in a better cash-flow situation; however, it requires financial restructuring to ensure its long-term viability. Aware of the importance of the social security system, the

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[12]The demobilization was planned to reduce the size of the army from 32,000 to 25,000, but in the process of making up the demobilization list, the authorities found the size of the army had been overestimated by some 6,000 men.

[13]Current government obligations to the CNRT are estimated at CFAF 3 billion, and comprise the employer's share (10 percent of the base pay), and the employee's share (5 percent of the base salary) withheld at source but not transferred to the CNRT.

[14]Payments in 1994-95 were equivalent to one month of benefits a year.

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authorities are planning to launch actuarial and administrative audits of these two agencies with a view to putting in place a multiyear financial restructuring plan. In the interim, consistent with their policy commitments under the second annual arrangement, the authorities budgeted CFAF 1 billion to be transferred in four installments to the CNRT and made the first of these transfers in the first quarter. In addition, 8 percent of gross petroleum tax receipts will continue to be earmarked for the CNRT. The authorities have also put in place a system of automatic transfers by the treasury to the CNRT and the CNPS of the employees' contributions.

26. The government completed the inventory of its **cross debts** with other public entities, which establishes that it is in an overall debtor position of some CFAF 16 billion. A proposal for a transparent multiyear program to clear the stock of government domestic arrears will be discussed in the context of the third annual arrangement.

27. The financial program for 1997 envisages clearance of the remaining CFAF 2.8 billion of **external arrears**.[15] In addition, domestic arrears amounting to CFAF 20 billion are scheduled to be settled in 1997, some CFAF 15 billion of these before end-June 1997. External financing requirements for calendar year 1997 are estimated at CFAF 47 billion, and are expected to be covered by commitments from multilateral and bilateral donors already in place. The financing gap at end-June 1997 is estimated at CFAF 30 billion and would be filled by the external assistance provided under the program, including disbursement of the SAC credit by the World Bank, of the second loan under the present ESAF arrangement, and a grant from the European Union, as well as aid from bilateral donors.

28. In 1997, a key objective of regional monetary authorities will be to strengthen **the financial system**, whose weakness has resulted in a virtual stagnation in money demand in the CAEMC zone since 1995. In that context the regional banking supervision agency, COBAC, is reinforcing its supervisory activities, an effort fully supported by the Chadian authorities. **Money supply** in Chad is projected to grow by some 14 percent in 1997, slightly more than nominal GDP growth, with net domestic assets of the banking system increasing by 10 percent in terms of beginning-period money stock. This would limit the improvement in the net foreign asset position of the domestic banking system to CFAF 5.6 billion (Appendix I, Table 6). Net claims on the government by the banking system are not projected to increase by more than the amount attributable to the net use of Fund resources. Credit to the private sector is expected to peak during the first half of the year, in line with the seasonal pattern of crop credit, but by year-end, the change in credit to the private sector would be limited to CFAF 3.2 billion, an increase of 7 percent over 1996. The Chadian authorities intend to work within the regional monetary arrangements to encourage the use of indirect instruments of monetary policy, which would stimulate financial market development and strengthen public confidence.

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[15]The residual stock of external arrears remaining at end-December 1996 amounted to CFAF 4.1 billion, of which CFAF 1 billion was cleared in the first quarter of 1997. The remainder consists mostly of arrears to non-Paris Club creditors with whom discussions on rescheduling and/or forgiveness are well advanced.

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29. Representatives of the commercial banks brought to the attention of the mission that in February 1997 the BEAC required three of the five banks in Chad to clear all requests for current international transfers exceeding CFAF 50 million (about US$100,000) through BEAC headquarters in Yaoundé, Cameroon. According to the bankers, the effect of this new policy was a substantial delay in obtaining clearance and, from time to time, a denial of clearance for reasons that were not altogether apparent. The BEAC has asserted that the policy was needed to prevent speculative capital movements under the guise of current transfers. The staff is consulting with the BEAC to ascertain more details and to ensure that the procedure does not to impede legitimate current transfers.

30. The **privatization of the remaining state-owned banks**—the commercial bank (BTCD) and the development bank (BDT)—has proved difficult, with the first request for bids having failed. The authorities have revised their privatization strategy and are now seeking a technical international partner to invest in and manage the BTCD, before initiating the same procedure for the BDT.

C. Structural Policies

31. The initial phase of the privatization process is almost completed: since 1993 thirteen enterprises have been privatized and four have been liquidated. Six small- to medium-sized enterprises remain in the privatization pipeline. Efforts are well under way to restructure the telecommunications sector (Appendix II, paragraphs 27-28). As a result, **structural reform** is now focused on sectors where large parastatal enterprises play a dominant role in the economy: These enterprises include: the cotton company (COTONTCHAD), the sugar company (SONASUT), the electricity and water company (STEE), and the telephone company. With the reform studies either completed or well advanced, the authorities, in close coordination with experts from the World Bank and other donors, are setting the stage for concrete actions in the context of the third annual ESAF program.

32. Based on the recommendations of the preliminary study on the **government's divesture of COTONTCHAD**, the authorities have decided to abolish the company's monopoly on primary marketing of cotton seed, cotton ginning and fiber marketing, and to open up the sector to private entrepreneurs. The modalities will be announced before the launching of the 1998/99 cotton campaign in the second quarter of 1998. To effect this decision, the COTONTCHAD shareholders' agreement (*pacte des actionnaires*) will have to be revised and the company's special tax regime will have to be renegotiated. In that context, the authorities envisage reinforcing the cotton sector monitoring committee by enlarging it to include cotton producers and other private investors. The authorities have also decided (i) to concentrate COTONCHAD's efforts on its main activity (cotton ginning and fiber marketing) by stripping it of its oil and soap-producing activities, which are to be privatized; and (ii) to restructure the company with a view to decentralizing the management of its ginneries (Appendix II, paragraph 24).

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33. **In the sugar sector**, the study on government disengagement from SONASUT was not launched until April 1997. The authorities attributed the delay to difficulties in formulating terms of reference acceptable to the World Bank. The staff noted its concern that the long delay signaled a hesitancy to go forward with reform of the sector. In response, the authorities reiterated their commitment to take action in this sector in early 1998, based on the recommendations of the study, now expected to be completed in September 1997. In addition, the situation of the sugar market will be reviewed during the discussions on the third annual program, with a view to setting a timetable for the rapid removal of the reference price for sugar imports.[16]

34. The government's intentions in **the water and electricity sector** have been formulated in a sectoral policy letter that centers on (a) the need for the government to retain leadership as regards the sector's development strategy; and (b) the necessity of granting the STEE management autonomy to enhance its efficiency. Within this framework, the government has decided to put STEE under private management before September 1997, and to put in place a sectoral investment program to extend and modernize the electricity network and increase the production of water (Appendix II, paragraph 25).

35. **The public investment program** is the authorities' primary instrument to promote economic and social development and combat poverty. The government's efforts will focus on mobilizing some CFAF 75 billion a year over the next three years to improve human resource development infrastructure, revitalize economic activities in rural areas, and diversify agriculture. The large public investment program, approved by the World Bank, is required in the face of the considerable investment needs after 30 years of civil war. To improve project execution, the government has committed itself to making counterpart funds available on a timely basis.

36. The government remains fully aware of the precarious situation of **the poorest socioeconomic groups**. The increased budgetary allocations to the priority sectors of education, health, social affairs, and public works will supplement the labor-intensive investment projects, currently in progress, in improving the living conditions of the poor and in increasing their access to basic social services. A poverty assessment by the World Bank staff is well advanced and will help identify other appropriate measures. **Environmental efforts** will continue to focus on providing alternative sources of energy to prevent the extensive and harmful deforestation near major cities. Studies have been conducted to assess the environmental impact of the exploitation of the country's oil resources, and an environmental management plan will soon be adopted.

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[16]The reference price was put in place in January 1997 as temporary protection for the company following the elimination of its monopoly on sugar imports. It was set at CFAF 375 per kg, which compares with an average c.i.f. import price of CFAF 323 per kg in 1996.

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D. Medium-Term Balance of Payments Outlook

37. The **balance of payments projections** for Chad have been updated in light of the revised macroeconomic framework described earlier, the revisions of the 1994 external accounts undertaken by the BEAC, and the most recent World Economic Outlook price projections. Chad's external accounts are projected to improve in 1997, with the current account deficit, excluding official transfers, to be reduced from 19 percent of GDP to 17 percent. With an expected improvement in the terms of trade, the trade deficit should narrow, led by an increase in cotton exports (Appendix I, Table 5).

38. Over the medium term, Chad's external prospects are expected to improve progressively, as economic reform begins to bear fruit (Appendix I, Table 5). During the period 1997-2000, exports of goods and services are projected to increase at an average rate of 7.5 percent a year in real terms, reflecting both sustained growth in cotton exports spurred by the sector's liberalization, as well as higher growth of other traditional exports stimulated by further progress in economic integration and trade liberalization in the BEAC zone, and increasing opportunities for exports to neighboring countries.[17] Imports of goods and nonfactor services are expected to increase by 5 percent a year, in line with the projected growth of real GDP and an improvement in the competitiveness of the economy. Under these assumptions, and with little projected change in the terms of trade, the external current account deficit (excluding official transfers) should decline to 14 percent of GDP by 2000.

39. Although the domestic contribution to the financing of the public investment program will increase steadily over the medium term, it is expected that the country will continue to rely on official transfers and long-term highly concessional loans, which are projected to account for some 80 percent of the total financing by 2000, down from 94 percent in 1997 and 86 percent in 1998. The residual financing requirements are projected to decline from 7 percent of GDP in 1997 to 1.6 percent of GDP by 2000. These financing gaps are expected to be covered by (a) concessional financing by traditional donors; (b) debt relief under the Paris Club rescheduling granted in 1996 which covers the period up to mid-1998, and a possible stock-of-debt operation afterwards; and (c) debt relief from other bilateral creditors.

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[17]Projections beyond 2000 are difficult given the uncertainties surrounding the timepath for investment in, and exploitation of, Chad's oil resources (see paragraph 41).

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40. Chad's **external debt service obligations** over the medium and long term appear to be sustainable.[18] The debt stock at the end of 1996, including arrears, was estimated at CFAF 468 billion (78 percent of GDP), of which 85 percent was owed to multilateral financial institutions. The debt service due, including that to the Fund, is projected to decline from 10.7 percent of exports of goods and nonfactor services in 1997 to 7.6 percent in 2000; debt service due will increase slightly during 2000-05, and will average the equivalent of 8.8 percent of exports of goods and nonfactor services. The debt stock as a percent of GDP is expected to decline less rapidly over the next ten years, reaching 50 percent in 2006.

41. Chad's **total debt service** to the Fund as a percent of exports of goods and nonfactor services is projected to rise to some 3.5 percent in 1997-98 before declining to 1.3 percent in 1999 and 0.4 percent in 2000. In light of the prospective strengthening of the external position outlined above, Chad can be expected to continue to meet its obligations to the Fund in a timely manner (Appendix I, Table 8).

42. The balance of payments outlook for Chad is expected to improve dramatically after 2000, when **the exploitation of oil resources** is slated to begin.[19] The oil developments will take place in the Doba region in the south of the country and in Sedigui in the area of Lake Chad. Doba's proven reserves are estimated at some 900 millions of barrels and are intended for export purposes. Exploitation of these reserves is expected to last 30 to 35 years, with output peaking at some 80 million barrels a year during 2001-03, before declining gradually to reach 11 million beyond 2027. It is expected that Chad's cumulative revenues through 2025 would amount to US$2.7 billion. Sedigui's reserves are smaller and will be used for domestic purposes only.This would allow the country to be self-sufficient in oil for about 15 years.The Chadian authorities are working closely with the World Bank on building the necessary management capacity to exploit these resources wisely. As reflected in the program performance criteria, they are committed to refrain from taking out nonconcessional loans based on future oil revenues, other than those required to exploit the resources.

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[18]A detailed debt sustainability analysis (DSA) is contained in EBS/96/70, with an update in EBS/96/160. Conditional on the establishment of a strong track record of adjustment and good relations with its creditors, Chad could reach the decision point under the HIPC Initiative at the end of the third annual ESAF. Based on the latest DSA, however, after assuming full use of traditional debt mechanisms, Chad's debt burden appears to be sustainable at 75 percent of exports of goods and nonfactor services in present value terms by the year 2006, as against 139 percent in 1996. In net present terms, the debt stock as a percent of government revenue excluding grants, is projected at 187 percent by the year 2006, corresponding to a reduction by more than half as against 1996.

[19]The broad outlines of the Chad oil exploitation were reviewed in SM/96/111. As negotiations among the various parties involved in the project are still ongoing, precise timing and quantitative projections are not yet available.

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43. With respect to the **exchange system**, some progress was made in the drafting of the convention for the regional harmonization of exchange regulations. However, the draft convention has yet to be adopted by the governments or ratified by the country parliaments.

IV. STAFF APPRAISAL

44. The second year of the ESAF-supported program was to mark a transition point for the Chadian authorities, with their focus turning from the task of fiscal revenue mobilization to that of fundamental structural reform. This change in focus has largely begun; however, during the last half of 1996, it became evident that problems with expenditure control were putting program targets in jeopardy. The problems were not technical, and thus, credible actions needed to be taken at a political level to ensure that the program could be brought back on track. In the context of the original 1997 budget and the supplementary budget approved in March, the authorities have taken such actions; it is on the strength of these measures that the program can go forward.

45. **Economic growth** in 1996 was less than envisaged in the program, owing to a drought that affected the food-producing regions. This in turn boosted domestic food prices and pushed inflation above the level anticipated in the program. Assuming a return to normal weather conditions in 1997, it is expected that real per capita economic growth will resume and prices will stabilize. Only with a continued investment in basic infrastructure and the exploitation of Chad's oil resources can real growth rates exceeding 6 percent be envisaged.

46. **Government revenue** continued to increase at a rapid pace in 1996 but the tax effort remains low relative to the need for priority outlays. Thus, it is welcome that the 1997 budget contains additional revenue-enhancing measures, and that the staff of the Ministry of Finance continue to strengthen their capacity to collect revenues. In this regard, it will be important to implement by July 1, 1997 the mechanism to control import duty exemptions on government procurement, as promulgated into law in March 1997. Also, sustained efforts need to be made to collect petroleum import taxes in 1997. The program's revised revenue projections are aggressive but within reach.

47. **Government expenditure**, especially current primary expenditure, exceeded program targets substantially in 1996, drawing attention to three areas in expenditure control and management that were problematic: civil service wages, goods and services in nonpriority ministries, and military salaries. Extensive spending outside normal budgetary channels (*dépenses non ordonnancées)* by various ministries was at the root of the fiscal problems.

48. The authorities must be commended for quickly taking several strong actions to redress **the expenditure control problem**, which, if implemented firmly, should help to put the spending program back on track. The practice of expenditure outside normal budgetary channels was expressly prohibited by presidential decree and the Minister of Finance was given

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the necessary authority to deny such requests from any level of government. Provincial and military spending authority was transferred from regional officials to agents of the Ministry of Finance and the control of military salary disbursements strengthened. If these measures are implemented rigorously, the government's military spending targets appear to be achievable. Also welcome is the reduction of 1997 budgetary allocations to nonpriority ministries. Results for the beginning of 1997 are encouraging, but the authorities will need to watch expenditures closely to ensure overruns do not occur in 1997. Current monitoring systems are sufficiently transparent to guard against recurrence of the problems in 1996, but the staff would strongly encourage the authorities to strengthen further their capacity for budgetary management.

49. Strong measures were taken by the authorities to help ensure that the 1997 non-military **wage bill** targets can be met; their impact in March and April can already be seen. As the authorities are aware, such measures to restrain wages cannot be maintained indefinitely and a more thorough **reform of the civil service** is required in the near future. The change in strategy suggested by the World Bank to effect such reform appears to have delayed the process in the short run, but should enhance ownership. The staff would urge the authorities to work to accelerate the reforms; the recent appointment of a national commission on civil service reform is an important first step. In the interim, the authorities should be vigilant in their efforts to make some modest reduction in the size of the civil service and to control the wage bill.

50. The government cleared its **arrears** to all Paris Club creditors as well as with most other bilateral creditors. The small external arrears that remain are under negotiation with a few bilateral creditors and should be cleared soon. The pace of clearance of domestic arrears was slower than programmed as a result of the expenditure overruns in the current budget. The program is fully financed through the end of the 1996/97 program year, and reasonable assurances exist of financing for calendar year 1997, which would allow the authorities to catch up on their arrears clearance schedule.

51. With the privatization process now well under way, **structural reform** efforts are now focused on the large state enterprises. As anticipated in the program, the primary effort in the first half of the program year was to undertake a series of studies that would facilitate an in-depth discussion on the direction of reform, setting the stage for actions in the program's third year. The preliminary report on the cotton sector was completed as scheduled and the authorities, in consultation with the World Bank, have made marked progress in putting together a program of reform that will lead to the opening of all aspects of cotton production to entrepreneurs other than the state-owned cotton company in 1998. At the same time, this company will undergo a thorough restructuring. Although the electricity study was delivered late by the consultant, the authorities have used it to build a consensus on the reform of the electricity and water company, including placing it under private management before September 1997. In this regard, concrete actions to be taken by the end of the year are critical. The removal of the sugar import monopoly was an important first step in liberalizing the sugar

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sector. The delay in launching the study of the sugar company was regrettable, but it is now under way and should be pursued vigorously. Concrete reform actions, including a timetable for the rapid removal of the reference price for sugar imports, should be included as part of the third-year program.

52. Over the medium term, the **balance of payments** position is expected to improve, even without taking into account the possibility of oil exports. Improvements in the external position initially will be moderate, as the large public investment program will require substantial imports. Chad's debt burden is not large and its debt-service obligations appear to be sustainable even with continued concessional borrowing to support efficient public investment. The authorities have no intention of mortgaging future oil revenue with nonconcessional borrowing; the process of putting in place the financial and human resource infrastructure necessary to manage future oil revenues has started and should be encouraged.

53. The authorities continue to lend their support to reforms at the regional level to strengthen the effectiveness of **monetary policy** and to encourage the use of indirect instruments of monetary control at interest rates that reflect market conditions. Continued efforts to privatize the remaining state-owned banks need to be pursued with vigor.

54. The **statistical system** in Chad remains weak. The staff would urge the authorities to move quickly to adopt a reform plan and mobilize the necessary technical assistance to implement it. The groundwork for a revision of the national accounts has been laid, and the authorities should move quickly to finalize these data. Good progress has been made in strengthening the fiscal data needed for program monitoring, but monetary data and balance of payments data remain weak. The staff would urge the authorities to work with the BEAC to strengthen data provision in these two areas.

55. Overall, the authorities' revised program is strong. Good progress continues to be made both in the mobilization of revenues and in structural reform; concrete actions were taken early in 1997 to bolster expenditure control. The primary risk to the program's success lies in the implementation of the expenditure control measures. If the will to observe expenditure ceilings is weak, the program will once again go off track. The results thus far in 1997 are encouraging, but the staff would underscore the importance of continued vigilance in this area.

56. The staff recommends that the nonobservance of the performance criteria be waived and that the midterm review under the second annual ESAF arrangement be concluded. The number of waivers requested (six) is large. However, it is important to note that failure to observe three of the performance criteria (domestic arrears, the current fiscal balance and the wage bill) were all tied to various aspects of the lack of expenditure discipline, which are being addressed. Moreover, problems with the other three criteria (net domestic assets of the central bank, external arrears, and the report on the electricity sector) were largely beyond the authorities' control.

57. It is proposed that the next Article IV consultation with Chad be held on the standard 12-month cycle.

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V. Proposed Decision

The following draft decision is proposed for adoption by the Executive Board:

1. Chad has consulted with the Fund in accordance with paragraph 2 (d) of the second annual arrangement under the enhanced structural adjustment facility (EBS/96/160, Supplement 1, 10/18/96).

2. The letter of the Minister of Finance and the Minister of Planning and Cooperation of Chad dated May 5, 1997, together with the annexed memorandum, shall be attached to the second annual arrangement, and the letter of the Minister of Finance and the Minister of Planning and Cooperation dated September 30, 1996, together with the annexed memorandum, shall be read as supplemented and modified by the letter of May 5, 1997.

3. The Fund determines that the midterm review envisaged in paragraph 2(d) of the second annual ESAF arrangement for Chad has been completed and that, notwithstanding the nonobservance of performance criteria with respect to the targets for net domestic assets of the central bank, domestic payments arrears, external payments arrears, the current fiscal balance, the government wage bill, specified in paragraph 2 (a)(i), (iii), (iv), (vi) and (vii), respectively, and the completion of a provisional report on the disengagement of the state from STEE specified in paragraph 2 (b)(i), Chad may proceed to request the disbursement of the second loan under the second annual arrangement.

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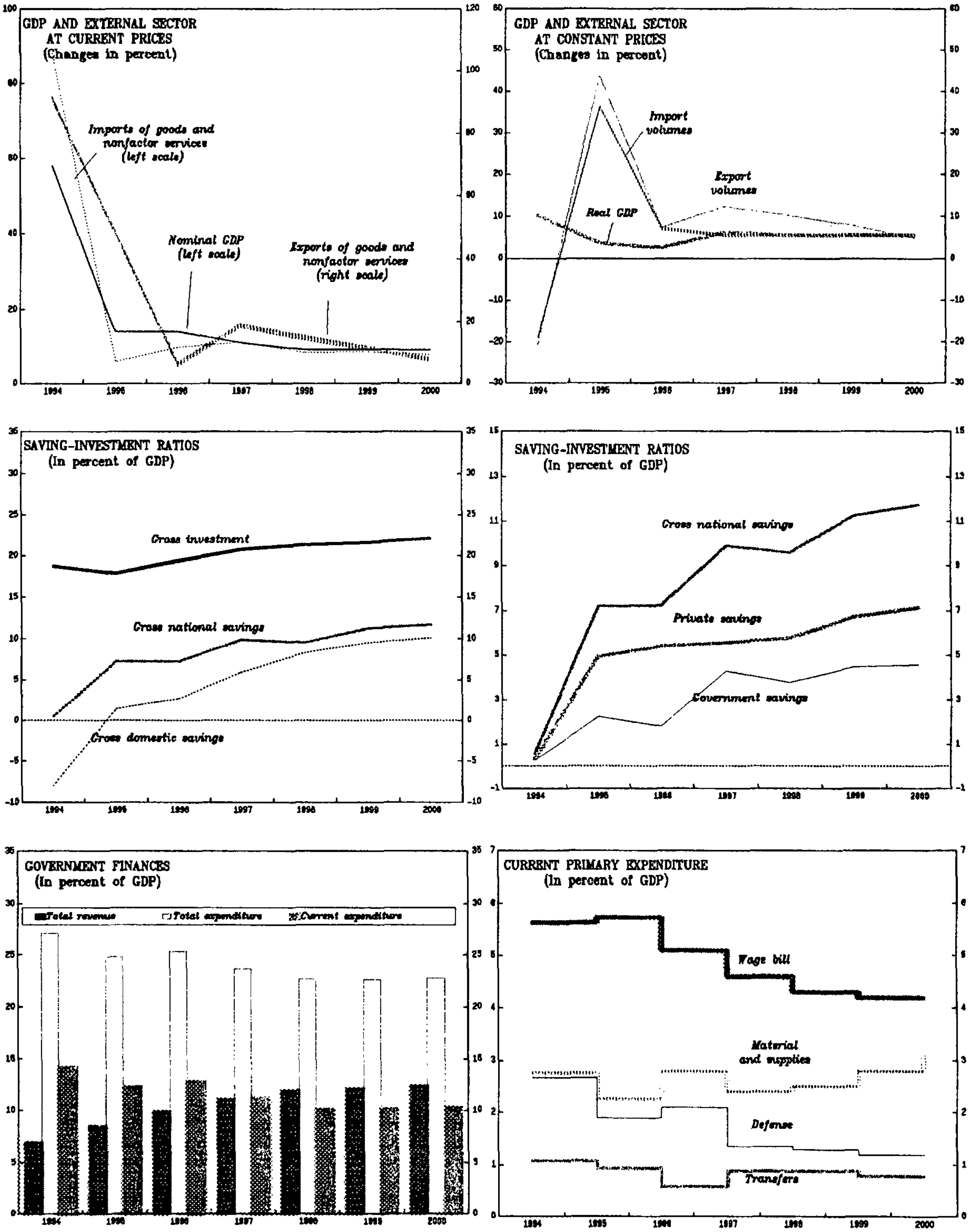
Figure 1

CHAD

SELECTED ECONOMIC AND FINANCIAL INDICATORS, 1994-2000



Sources: Data provided by the Chadian authorities; and staff estimates.

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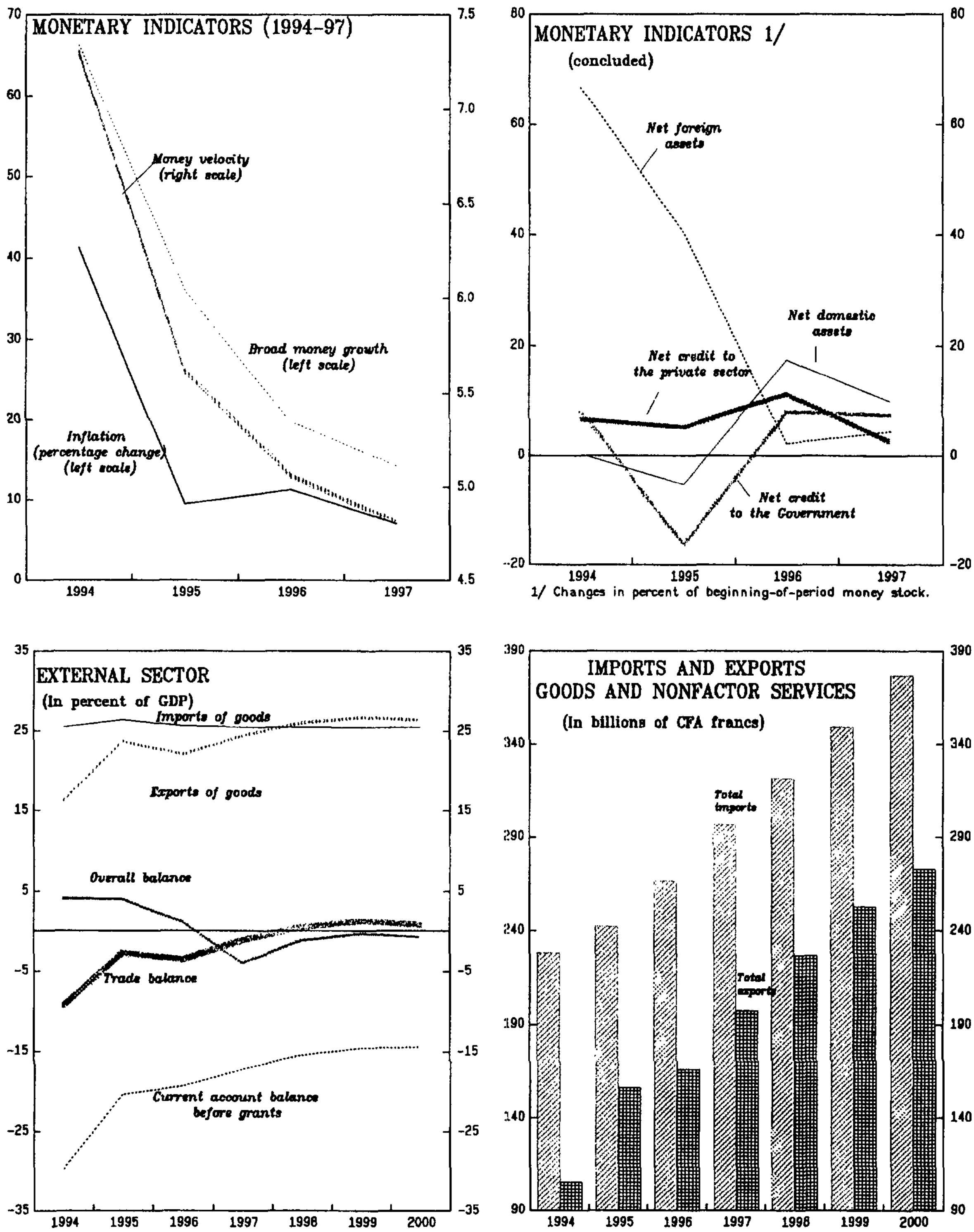
Figure 1
(concluded)

CHAD

SELECTED ECONOMIC AND FINANCIAL INDICATORS, 1994-2000



Sources: Data provided by the Chadian authorities; and staff estimates.

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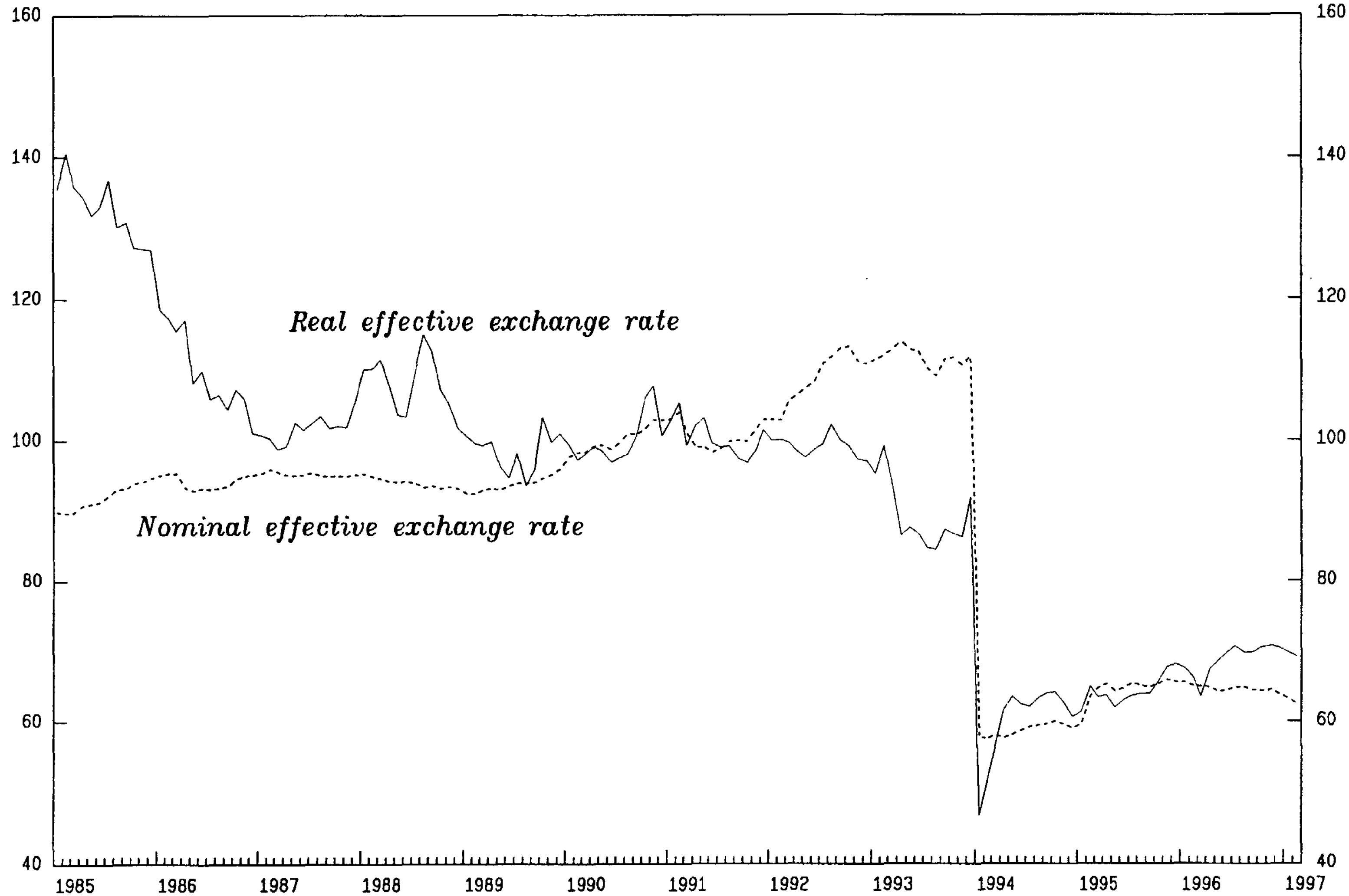
Figure 2

CHAD

NOMINAL AND REAL EFFECTIVE EXCHANGE RATES, 1985-97.



Sources: IMF, International Financial Statistics, Information Notice System, and staff estimates.

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Table 1a. Chad: Quantitative Performance Criteria and Benchmarks for the Second Annual Arrangement Under the Enhanced Structural Adjustment Facility, July 1, 1996-June 30, 1997

(In billions of CFA francs)

	1996 End-June (Est. level)	Cumulative changes: 1996 Dec. 31 Perf. crit. Revised	1996 Dec. 31 Perf. crit. Actual	1997 March 31 Rev. Bench-marks	1997 March 31 Prov. Est.	1997 June 30 Rev. Bench-marks
A. **Quantitative performance criteria and benchmarks 1/**						
Net domestic assets of the central bank (BEAC) 2/	45.9	6.0	10.8	27.9	30.8	31.6
Net credit of the banking system to the government 2/ 3/	44.0	7.8	5.6	7.9	11.5	13.7
Domestic payments arrears 4/	43.3	-8.3	-1.3	-1.3	-3.5	-16.1
External payments arrears 4/ 5/	35.8	-35.8	-31.7	-33.0	-32.4	-35.8
Of which: in cash		-3.8	-4.9	-6.2	-5.6	-6.2
External loans contracted or guaranteed by the government on nonconcessional terms: 6/						
– less than 1 year's maturity 7/	0.0	0.0	0.0	0.0	0.0	0.0
– all medium- and long-term loans	0.0	0.0	0.0	0.0	0.0	0.0
Current balance 8/	-5.5	-6.9	-12.1	-19.3	-16.0	-15.9
Government wage bill 9/	15.2	14.7	15.6	23.5	23.7	31.0
B. **Monitored variable**						
Net domestic assets of the banking system	47.9	9.3	18.6	38.4	39.4	44.2
C. **Memorandum item:**						
Anticipated external program financing 10/	15.2	18.0	16.0	23.5	17.6	35.3

1/ The principal adjusters in cases of shortfalls of external assistance are as follows: (a) shortfalls before end-1996 would lead to a postponement in the elimination of domestic payments arrears up to the amount projected in 1996; (b) for larger shortfalls, external payments arrears would be postponed. In the case of a level of domestic tax revenue or external financing higher than programmed, one half of the excess would be used to increase the settlement of payments arrears and the other half to reduce net credit of the banking system to the government.

2/ May be adjusted in line with the contingency provision in footnote 1 above.

3/ The ceiling will be adjusted upward (downward) to the extent that the amount actually disbursed under the special bank account for military demobilization is higher (lower) than the amount envisaged by the program (i.e., CFAF 2 billion as of end-September 1996, and CFAF 5 billion as of end-December 1996).

4/ No new accumulation of arrears is allowed, with the exception of external debt- service payments for which a rescheduling is foreseen. The reduction in domestic and external payments arrears may be affected by the availability of external financing (see footnote 1 above).

5/ The stock of arrears at end-June 1996 includes debt to Kuwait, which was not recognized earlier; cash payments figures have been corrected to reflect CFAF 7.5 billion payments in the first half of 1996.

6/ Any loan with a grant element of less than 35 percent. The discount rates used in the calculation of concessionality are six-month averages of the OECD CIRRS (for loans with maturities up to 15 years) and ten-year averages of the CIRRS (for loans with maturities exceeding 15 years), augmented by a margin related to the repayment period.

7/ Excluding (a) normal import-related credits, on a disbursement basis; and (b) the government's share of the financing of oil projects in Doba and Sedigui (amount still under discussion).

8/ Commitment basis.

9/ Nonmilitary wages on a commitment basis.

10/ Including nonproject grants and loans, excluding the Fund.

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Table 1b. Chad: Structural Performance Criteria and Benchmarks for the Second Annual Arrangement Under the Enhanced Structural Adjustment Facility, July 1, 1996-June 30, 1997

		Original Program	Actual or Revised
A.	**Structural performance criteria**		
	1. Completion of a provisional report on the disengagement of the government from COTONTCHAD	End-December 1996	Done, December 1996
	2. Completion of a provisional report on the disengagement of the government from STEE	End-December 1996	Done, March 1997
B.	**Original structural benchmarks**		
	1. Establishment of the large taxpayer unit (National Sub-Directorate for large companies).	End-September 1996	Done, September 1996
	2. Elimination of the reduced rate of the turnover tax.	January 1, 1997	Done, January 1, 1997.
	3. Completion of a study on different options for the disengagement of the government from the SONASUT.	End-March 1997	Postponed to end-September 1997.
	4. Action plan on the disengagement of the government from COTONTCHAD.	End-April, 1997	Done, April 1997.
	5. Implementation of the single business tax *(impôt synthétique)*.	July 1, 1997	Postponed to January 1, 1998.
	6. Adoption of the revised statutes of civil service.	End-June 1997	Postponed to end-December 1997.
	7. Regular payments by the government to CNRT of civil servants' contributions withheld at source and regular payments by the government of its contribution to CNRT and CNPS as employer.	Beginning January 1, 1997	Done, beginning January 1, 1997.
C.	**New structural benchmark**		
	1. Implementation of a mechanism for budgeting import duty exemptions included in government contracts.	--	End-June 1997.

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Table 2. Chad: Selected Economic and Financial Indicators, 1994–2000

	1994	1995	1996 Prog.	1996 Est.	1997 Prog.	1997 Rev.Prog.	1998 Prog.	1999 Projections	2000 Projections
	(Annual changes in percent, unless otherwise specified)								
National income									
GDP at current prices	58.0	14.0	15.2	14.1	10.6	11.0	9.3	9.3	9.1
GDP at constant prices	10.2	3.6	6.0	2.7	5.0	6.3	5.6	5.6	5.6
Implicit GDP deflator	43.3	10.0	8.7	11.1	5.3	4.4	3.5	3.5	3.3
Consumer price index (average)	41.3	9.5	10.0	11.3	4.0	7.1	3.5	3.3	3.0
Consumer price index (December to December)	49.4	10.0	4.9	10.5	4.1	5.1	3.5	3.3	3.0
Central government finance 1/									
Revenue	9.7	40.3	38.2	32.8	13.7	24.7	17.5	10.6	11.6
Total expenditure	48.9	4.4	14.4	16.5	2.9	3.7	4.8	9.0	9.8
Of which: current expenditure	26.2	–1.3	14.9	19.3	–4.7	–3.1	–1.4	9.9	10.5
Money and credit 1/									
Net foreign assets 2/	66.8	40.5	2.8	2.2	6.7	4.3	...	...	...
Net domestic assets 2/	0.2	–5.3	10.8	17.5	4.5	9.9	...	...	...
Domestic credit	14.8	–11.0	12.9	19.3	4.5	9.9	...	...	...
Of which: net claims on central government 3/	8.1	–16.2	13.9	8.0	3.7	7.4	...	...	...
credit to nongovernment sector 2/	6.7	5.3	–1.0	11.3	0.8	2.5	...	...	...
Broad money 4/	66.3	36.0	13.6	19.8	11.3	14.3	...	...	...
Velocity (GDP relative to average M2) 5/	7.3	5.6	5.5	5.1	5.4	4.8	...	...	...
External sector (valued in CFA francs)									
Exports, f.o.b.	75.0	66.2	1.3	6.3	18.4	22.4	16.4	12.2	7.8
Imports, f.o.b.	93.2	17.8	13.3	10.9	10.4	10.4	9.1	8.9	9.5
Export volumes	–20.7	43.8	2.3	7.4	13.1	12.4	10.3	8.0	4.9
Import volumes	–18.8	36.3	8.9	7.2	9.7	5.6	5.6	5.6	5.6
Terms of trade	10.4	14.6	–4.8	–4.4	3.9	4.2	2.0	0.7	–0.9
Real effective exchange rate(– depreciation)	–32.7	7.2	3.6	6.8	...	...	...	...	...
	(In percent of GDP, unless otherwise specified)								
Basic ratios									
Gross fixed investment	18.7	17.8	15.9	19.4	16.4	20.7	21.3	21.6	22.1
Central government investment	12.9	12.5	12.0	12.4	12.0	12.4	12.5	12.4	12.4
Private sector investment	5.8	5.4	3.9	6.9	4.4	8.3	8.8	9.2	9.6
Gross domestic savings	–8.0	1.5	1.3	2.7	3.3	5.8	8.3	9.5	10.1
Gross national savings 6/	0.6	7.2	4.3	7.2	5.0	9.9	9.6	11.3	11.8
Central Government savings	0.3	2.3	1.0	1.8	1.9	4.3	3.8	4.5	4.6
Private savings	0.3	5.0	3.3	5.4	3.1	5.6	5.8	6.8	7.2
Central government finance 1/									
Revenue	6.9	8.5	10.0	9.9	10.2	11.2	12.0	12.2	12.4
Total expenditure	27.1	24.8	24.0	25.3	22.3	23.6	22.7	22.6	22.8
Current balance (– =deficit) 7/	–7.3	–3.8	–2.0	–2.9	–0.1	–0.1	1.9	2.0	2.1
Current primary balance (– =deficit) 7/	–5.2	–2.3	0.7	–0.8	1.1	1.9	3.1	3.1	3.2
Overall fiscal deficit (commitment basis) 7/	–20.1	–16.3	–14.0	–15.4	–12.1	–12.5	–10.7	–10.5	–10.3
Overall fiscal deficit (cash basis) 7/	–18.9	–15.0	–17.8	–20.2	–15.0	–17.0	–12.3	–10.5	–10.3
Domestic financing	–0.2	–1.3	2.2	1.9	–1.0	–0.5	–0.8	–0.3	–0.1
External financing (already obtained)	19.0	16.3	12.8	18.3	12.2	12.7	11.2	9.2	8.8
Financing gap (–)	0.0	0.0	–2.8	–0.0	–3.8	–4.8	–1.8	–1.6	–1.6
External sector									
Current account (– deficit)									
Including official transfers 6/	–18.1	–10.6	–11.6	–12.1	–11.4	–10.9	–11.7	–10.3	–11.9
Excluding official transfers	–29.7	–20.5	–17.0	–19.4	–15.7	–17.2	–15.5	–14.5	–14.4
Overall balance of payments (– =deficit)	4.2	4.1	–1.7	1.1	–2.7	–4.0	–1.1	–0.3	–0.7
External debt outstanding 8/	85.3	74.2	67.7	70.1	67.4	69.6	68.8	65.9	66.8
Debt–service ratio 9/									
Including the Fund	12.7	9.5	11.0	9.9	11.8	10.7	10.5	8.4	7.6
Excluding the Fund	11.0	7.3	8.3	7.5	7.6	7.0	7.3	7.1	7.2
Total grants	21.0	16.9	11.1	13.0	9.1	10.5	9.3	9.1	8.6
Current grants	11.6	9.8	4.2	7.3	2.3	3.5	2.8	2.7	2.5
Capital grants	9.4	7.1	6.9	5.7	6.8	7.0	6.4	6.5	6.2
	(In millions of U.S. dollars, unless otherwise specified)								
Overall balance of payments deficit/ surplus	34.6	42.9	–20.6	13.1	–34.9	–46.4	–14.3	–3.6	–10.2
Contribution to the official external reserves of the BEAC	111.4	183.9	187.4	211.7	211.0	209.2	227.2	239.3	251.1
Nominal GDP	830.1	1052.7	1206.6	1171.8	1312.0	1163.4	1257.9	1364.9	1481.3
Nominal GDP (in billions of CFAF)	460.9	525.4	622.0	599.5	687.9	665.5	727.1	794.4	866.6
CFAF per US$ (period average)	555.2	499.2	515.5	511.6	524.3	572.0	578.0	582.0	585.0
CFAF per US$ (end of period)	534.6	490.0	515.5	523.7	524.3	572.0	578.0	582.0	585.0
Population (midyear, in millions)	6.2	6.4	6.5	6.5	6.7	6.7	6.8	7.0	7.2

Sources: Data provided by the Chadian authorities; and staff estimates and projections.

1/ Consolidated operations of the Treasury, the CAA, and the public investment program.
2/ Changes as percent of broad money stock at beginning of period.
3/ Defined as the Treasury.
4/ For 1994 onward, including correction for currency notes not yet sorted at the BEAC national agency.
5/ Ratio of GDP to average broad money.
6/ For 1997–99, assuming the financing gap is fully financed.
7/ Excluding grants
8/ Including arrears; and the Fund
9/ Scheduled debt service in percent of exports of goods and nonfactor services.

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Table 3. Chad: Supply and Use of Resources at Current Prices, 1994–2000

	1994	1995	1996	1997	1998	1999	2000
				Program		Projections	
	(In billions of CFA francs)						
Gross domestic product	460.9	525.4	599.5	665.5	727.1	794.4	866.6
Domestic demand	583.8	611.4	699.6	764.6	821.7	890.4	970.3
Consumption	497.7	517.7	583.5	626.5	667.0	719.1	779.0
Central government	71.7	72.4	80.1	73.2	71.7	78.8	87.0
Private sector	426.0	445.3	503.3	553.4	595.3	640.3	691.9
Gross investment	86.1	93.7	116.1	138.0	154.8	171.3	191.3
Central government	59.2	65.6	74.6	82.5	91.1	98.6	107.7
Private sector	26.9	28.1	41.5	55.5	63.7	72.8	83.6
Resource gap	−122.9	−86.0	−100.1	−99.1	−94.7	−96.0	−103.7
Exports of goods and nonfactor services	105.5	156.5	166.5	197.6	227.0	253.2	273.0
Goods	75.1	124.9	132.7	162.5	189.1	212.0	228.5
Nonfactor services	30.4	31.6	33.8	35.2	38.0	41.2	44.5
Imports of goods and nonfactor services	−228.5	−242.5	−266.6	−296.7	−321.7	−349.3	−376.7
Goods	−117.7	−138.7	−153.9	−169.9	−185.4	−202.0	−221.2
Nonfactor services	−110.7	−103.8	−112.8	−126.9	−136.3	−147.3	−155.5
Gross domestic savings	−36.8	7.7	16.0	38.9	60.1	75.3	87.6
Private unrequited transfers	1.2	−1.2	5.6	8.6	8.2	8.6	8.3
Current public transfers	53.6	51.6	43.7	42.1	27.4	33.9	35.6
Net factor income from abroad	−15.2	−20.2	−21.9	−23.8	−25.9	−28.1	−29.6
Gross national savings	2.8	37.9	43.4	65.8	69.8	89.6	101.9
Central government	1.2	11.8	10.9	28.6	27.7	35.8	39.9
Private sector	1.6	26.0	32.6	37.2	42.1	53.8	62.0
Saving–investment balance	−83.3	−55.9	−72.7	−72.2	−85.0	−81.7	−89.4
Central government	−58.0	−53.8	−63.7	−53.9	−63.4	−62.8	−67.9
Private sector	−25.3	−2.1	−8.9	−18.3	−21.6	−18.9	−21.6
Gross national product	445.7	505.2	577.6	641.7	701.2	766.3	836.9
National disposable income	500.4	555.6	626.9	692.4	736.8	808.7	880.9
	(In percent of GDP)						
Gross domestic product	100.0	100.0	100.0	100.0	100.0	100.0	100.0
Domestic demand	126.7	116.4	116.7	114.9	113.0	112.1	112.0
Consumption	108.0	98.5	97.3	94.2	91.7	90.5	89.9
Central government	15.6	13.8	13.4	11.0	9.9	9.9	10.0
Private sector	92.4	84.8	84.0	83.2	81.9	80.6	79.8
Gross Investment	18.7	17.8	19.4	20.7	21.3	21.6	22.1
Central government	12.9	12.5	12.4	12.4	12.5	12.4	12.4
Private sector	5.8	5.4	6.9	8.3	8.8	9.2	9.6
Resource gap	−26.7	−16.4	−16.7	−14.9	−13.0	−12.1	−12.0
Exports of goods and nonfactor services	22.9	29.8	27.8	29.7	31.2	31.9	31.5
Goods	16.3	23.8	22.1	24.4	26.0	26.7	26.4
Nonfactor services	6.6	6.0	5.6	5.3	5.2	5.2	5.1
Imports of goods and nonfactor services	−49.6	−46.1	−44.5	−44.6	−44.3	−44.0	−43.5
Goods	−25.5	−26.4	−25.7	−25.5	−25.5	−25.4	−25.5
Nonfactor services	−24.0	−19.7	−18.8	−19.1	−18.7	−18.5	−17.9
Gross domestic savings	−8.0	1.5	2.7	5.8	8.3	9.5	10.1
Private unrequited transfers	0.3	−0.2	0.9	1.3	1.1	1.1	1.0
Current public transfers	11.6	9.8	7.3	6.3	3.8	4.3	4.1
Net factor income from abroad	−3.3	−3.9	−3.6	−3.6	−3.6	−3.5	−3.4
Gross national savings	0.6	7.2	7.2	9.9	9.6	11.3	11.8
Central government	0.3	2.3	1.8	4.3	3.8	4.5	4.6
Private sector	0.3	5.0	5.4	5.6	5.8	6.8	7.2
Saving–investment balance	−18.1	−10.6	−12.1	−10.9	−11.7	−10.3	−10.3
Central government	−12.6	−10.2	−10.6	−8.1	−8.7	−7.9	−7.8
Private sector	−5.5	−0.4	−1.5	−2.8	−3.0	−2.4	−2.5
Gross national product	96.7	96.1	96.4	96.4	96.4	96.5	96.6
National disposable income	108.6	105.7	104.6	104.0	101.3	101.8	101.7

Sources: Data provided by the Chadian authorities; and staff estimates and projections.

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Table 4. Chad: Consolidated Government Operations, 1995–97

	1995	1996 June	1996 December		1997 March		1997 June		1997 December	
		Act	Prog.	Act.	Prog.	Rev.Prog.	Prog.	Rev.Prog.	Prog.	Rev.Prog.
	(In billions of CFA francs)									
Total revenue and grants	98.5	45.4	105.1	110.2	18.5	21.5	51.8	58.0	117.0	120.8
Total revenue	44.8	30.1	62.0	59.6	13.8	12.2	35.5	34.7	70.5	74.3
Tax revenue	39.7	27.5	56.1	53.0	12.9	11.6	32.8	31.6	64.3	65.5
Income tax	17.4	8.3	20.7	22.4	5.1	4.9	10.4	11.0	23.2	24.6
Tax on goods and services	6.6	6.1	12.9	11.1	3.0	2.7	7.4	9.6	15.2	18.2
Of which: petroleum taxes	2.0	1.6	3.4	2.9	0.9	1.1	2.2	2.7	4.8	4.8
Tax on international trade	12.2	8.9	15.7	18.6	4.6	3.8	10.2	10.3	18.0	21.0
Other taxes	3.5	4.1	6.9	1.0	0.1	0.2	4.7	0.7	7.9	1.8
Nontax revenue	5.1	2.6	5.9	6.5	1.0	0.6	2.8	3.1	6.2	8.7
Total grants	53.7	15.3	43.1	50.6	4.7	9.3	16.3	23.3	46.5	46.5
Current grants	14.5	0.2	...	16.2	...	...	...	...	...	...
Project grants	39.2	15.1	43.1	34.4	4.7	9.3	16.3	23.3	46.5	46.5
Total expenditure	130.3	61.4	149.0	151.8	26.5	35.3	64.7	79.8	153.4	157.3
Current expenditure	64.7	35.6	74.4	77.2	17.5	19.4	35.0	38.5	70.9	74.8
Primary current expenditure	56.9	29.0	57.7	64.4	15.4	14.9	30.8	29.9	62.6	61.3
Wages and salaries	30.1	15.2	30.0	30.8	7.6	7.9	15.2	15.4	30.5	30.5
Materials and supplies	11.9	6.5	13.1	17.1	4.3	3.3	8.5	6.9	17.0	15.7
Transfers	5.0	2.3	5.5	3.9	1.3	1.5	2.6	3.1	6.0	6.1
Defense	10.0	5.0	9.0	12.7	2.3	2.3	4.5	4.5	9.0	9.0
Salaries	7.1	4.3	7.2	10.7	1.8	1.8	3.5	3.5	7.0	7.0
Materials and supplies	2.9	0.7	1.8	1.9	0.5	0.5	1.0	1.0	2.0	2.0
Demobilization	0.5	0.0	5.0	0.3	0.0	2.5	0.0	4.7	0.0	4.7
Elections	0.0	2.7	4.0	3.8	0.0	0.3	0.0	0.3	0.0	0.3
Other	0.0	0.3	0.1	0.3	0.0	0.0	0.0	0.0	0.0	0.0
Interest	7.3	3.6	7.6	8.4	2.1	1.6	4.2	3.6	8.3	8.5
Domestic	1.0	0.7	1.1	1.3	0.4	0.4	0.6	0.6	1.2	1.2
External	6.3	2.9	6.5	7.1	1.6	1.2	3.6	3.0	7.1	7.3
Current primary balance (– =deficit)	–12.1	1.1	4.3	–4.8	–1.6	–2.8	4.7	4.8	7.9	13.0
Current balance (– =deficit)	–19.8	–5.5	–12.4	–17.6	–3.7	–7.2	0.5	–3.8	–0.4	–0.5
Current balance, excluding demobilization (– =deficit)	–19.3	–5.5	–7.4	–17.3	–3.7	–4.7	0.5	0.9	–0.4	4.2
Investment expenditure	65.6	25.8	74.7	74.6	9.0	15.9	29.6	41.3	82.5	82.5
Domestically financed	0.3	0.4	2.9	0.6	1.3	0.4	2.5	2.5	5.0	5.0
Foreign–financed	65.3	25.4	71.8	74.0	7.8	15.5	27.1	38.8	77.5	77.5
Overall deficit (commitment basis)										
Excluding grants and foreign financed investment	–20.2	–6.0	–15.3	–18.2	–4.9	–7.6	–2.0	–6.3	–5.4	–5.5
Excluding grants	–85.5	–31.4	–87.1	–92.2	–12.7	–23.1	–29.2	–45.0	–83.0	–83.1
Including grants	–31.8	–16.0	–44.0	–41.6	–8.0	–13.8	–12.9	–21.8	–36.4	–36.5
Change in payments arrears 3/	6.4	–12.3	–23.7	–28.9	–8.0	–0.5	–13.6	–15.9	–20.0	–30.2
External (interest)	–3.7	–4.0	–7.1	–19.3	0.0	–0.5	0.0	–1.1	0.0	–1.1
Domestic	10.2	–8.3	–16.7	–9.6	–8.0	0.0	–13.6	–14.8	–20.0	–29.2
Overall deficit (cash basis, excluding grants)	–79.0	–43.7	–110.8	–121.2	–20.7	–23.6	–42.8	–60.9	–103.0	–113.3
Overall deficit (cash basis, including grants)	–25.4	–28.4	–67.7	–70.5	–16.0	–14.2	–26.5	–37.7	–56.4	–66.7
Financing	25.4	28.4	24.8	70.5	2.4	6.8	6.3	11.7	20.0	19.8
External (net)	32.2	22.3	11.2	58.9	2.4	4.5	8.8	10.1	26.9	23.0
Loans	26.1	25.3	28.7	54.6	3.1	6.2	10.9	15.5	31.0	31.0
Project loans	26.1	10.3	28.7	39.6	3.1	6.2	10.9	15.5	31.0	31.0
Program loans	0.0	15.0	0.0	15.0	0.0	0.0	0.0	0.0	0.0	0.0
Amortization due	–5.8	–2.4	–6.0	–6.2	–1.0	–1.3	–2.7	–3.0	–6.2	–7.5
Change in external arrears (principal)	–10.3	–3.0	–14.5	–19.9	0.0	–0.8	0.0	–3.0	0.0	–3.0
Debt relief/rescheduling obtained	22.2	2.4	2.9	30.4	0.3	0.3	0.6	0.6	2.1	2.4
Domestic (net)	–6.8	6.1	13.6	11.7	0.1	2.3	–2.5	1.6	–6.9	–3.2
Banking system	–6.1	6.3	12.5	11.1	–0.2	2.3	–3.0	1.6	–7.9	–3.5
Central bank	–5.9	15.4	21.6	17.0	–0.2	–0.2	–3.0	–3.1	–7.9	–8.2
Commercial banks	–0.1	–9.1	–9.1	–5.9	0.0	2.5	0.0	4.7	0.0	4.7
Nonbank sector	–0.9	–0.4	–0.2	0.2	0.0	0.0	0.0	–0.2	0.0	–0.2
Sale of assets	0.2	0.2	1.4	0.3	0.3	0.0	0.5	0.3	1.0	0.5
Financing gap	0.0	0.0	–42.9	0.0	–13.6	–7.5	–20.2	–25.9	–36.4	–46.9
Exceptional financing	0.0	0.0	25.2	0.0	10.2	3.4	10.2	13.6	10.2	14.8
World Bank	0.0	0.0	15.0	0.0	10.2	0.0	10.2	10.2	10.2	11.4
European Union	0.0	0.0	4.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Bilateral donors	0.0	0.0	6.2	0.0	0.0	3.4	0.0	3.4	0.0	3.4
Additional financing requirements	0.0	0.0	–17.7	0.0	–3.4	–4.1	–10.0	–12.3	–26.2	–32.1
Possible Fund disbursement	0.0	0.0	6.2	0.0	0.0	0.0	6.2	6.5	12.5	13.0
Residual financing gap	0.0	0.0	–11.5	0.0	–3.4	–4.1	–3.8	–5.8	–13.8	–19.1
Of which: possible debt relief	0.0	0.0	3.6	0.0	0.0	0.0	0.0	0.3	0.3	0.3
Memorandum items:	(In percent of GDP, unless otherwise specified)									
Total revenue	8.5	...	10.0	9.9	...	...	...	...	10.2	11.2
Current primary balance (– =deficit)	–2.3	...	0.7	–0.8	...	...	...	...	1.1	1.9
Current balance (– =deficit)	–3.8	...	–2.0	–2.9	...	...	...	...	–0.1	–0.1
Nonmilitary wage bill as a ratio to total revenue	67.2	50.4	48.4	51.7	55.2	64.4	42.9	44.5	43.3	41.1
Nonmilitary wage bill as a ratio to current expenditure	46.5	42.6	40.3	39.9	43.6	40.5	43.5	40.1	43.0	40.8

Sources: Data provided by the Chadian authorities; and staff estimates and projections.

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Table 5. Chad: Balance of Payments, 1994–2000

	1994	1995	1996	1997 Program	1998 Program	1999 Projections	2000 Projections
	(In billions of CFA francs)						
Goods and services	−122.9	−86.0	−100.1	−99.1	−94.7	−96.0	−103.7
Goods	−42.6	−13.9	−21.2	−7.4	3.7	10.1	7.3
Exports, f.o.b.	75.1	124.9	132.7	162.5	189.1	212.0	228.5
Of which: cotton	26.2	61.0	56.1	75.4	89.2	99.5	106.0
Imports, f.o.b.	−117.7	−138.7	−153.9	−169.9	−185.4	−202.0	−221.2
Services	−80.3	−72.1	−78.9	−91.7	−98.3	−106.1	−111.0
Credit	30.4	31.6	33.8	35.2	38.0	41.2	44.5
Debit	−110.7	−103.8	−112.8	−126.9	−136.3	−147.3	−155.5
Income	−15.2	−20.2	−21.9	−23.8	−25.9	−28.1	−29.6
Of which: public sector interest	−6.2	−6.3	−7.1	−7.3	−7.8	−8.0	−8.4
Current transfers	54.7	50.3	49.3	31.9	28.7	29.6	29.9
General government (net)	53.6	51.6	43.7	23.4	20.5	21.1	21.6
Other sectors (net)	1.2	−1.2	5.6	8.6	8.2	8.6	8.3
Current account balance	−83.3	−55.9	−72.7	−90.9	−91.9	−94.5	−103.5
Excluding official transfers	−136.9	−107.5	−116.4	−114.3	−112.3	−115.6	−125.1
Capital and financial account	83.3	55.9	72.7	71.9	85.0	81.7	89.4
Capital account	47.6	46.2	46.6	47.5	47.6	51.3	53.3
Capital transfers	47.6	46.2	46.6	47.5	47.6	51.3	53.3
Of which: debt forgiveness	4.2	8.9	12.1	1.0	0.7	0.0	0.0
Financial account	1.2	−11.0	27.7	24.4	37.4	30.4	36.1
Direct investment	7.9	5.0	7.6	8.1	13.0	14.3	15.1
Portfolio investment	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other investment	35.9	20.8	40.8	25.1	36.1	24.1	28.6
Public sector drawings	42.0	43.8	85.0	56.9	50.1	34.2	36.9
Of which: IMF purchases	8.3	6.3	12.3	13.0	6.6	0.0	0.0
Debt rescheduling (agreed)	0.0	13.3	18.2	1.4	0.7	0.0	0.0
Public sector amortization	−7.3	−8.6	−9.4	−13.9	−16.0	−13.3	−12.3
Of which: IMF repurchases	−1.2	−2.8	−3.2	−6.4	−6.5	−2.7	−0.5
Net change in arrears	4.3	−14.1	−39.2	−4.1	0.0	0.0	0.0
Change in liabilities of the BEAC	7.9	3.7	13.8	0.0	0.0	0.0	0.0
Private sector (net)	−11.0	−4.1	−9.4	−13.8	2.0	3.2	3.9
Of which: deposit money banks	−1.8	−2.5	1.1	0.0	0.0	0.0	0.0
Reserve assets	−42.6	−36.8	−20.7	−8.8	−11.7	−8.0	−7.6
Errors and omissions	34.6	20.7	−1.6	0.0	0.0	0.0	0.0
Financing gap (after IMF disbursements)	0.0	0.0	0.0	19.1	6.9	12.8	14.1
Of which: possible debt relief	0.0	0.0	0.0	0.3	0.0	0.0	0.0
Memorandum items:							
External financing	97.4	78.3	102.6	114.7	94.8	87.7	92.5
Project financing (net)	59.8	55.7	67.8	70.1	68.7	74.9	78.4
Project loans	22.4	24.2	39.6	31.0	31.2	34.2	36.9
Project grants	43.4	37.3	34.4	46.5	46.9	51.3	53.3
Amortization	−6.0	−5.8	−6.2	−7.5	−9.4	−10.6	−11.8
Debt relief already obtained	4.2	22.2	30.4	2.4	1.5	0.0	0.0
Exceptional financing	29.0	14.5	43.6	46.4	24.7	12.8	14.1
Program loans already obtained	11.3	0.0	15.0	11.4	11.6	0.0	0.0
Possible IMF disbursement	0.0	0.0	12.5	12.5	6.3	0.0	0.0
Program grants already obtained	17.8	14.5	16.2	3.4	0.0	0.0	0.0
Residual financing gap	0.0	0.0	0.0	19.1	6.9	12.8	14.1
Of which: possible debt relief	0.0	0.0	0.0	0.3	0.0	0.0	0.0
Net change in external arrears (+ =increase)	4.3	−14.1	−39.2	−4.1	0.0	0.0	0.0
	(In percent of GDP, unless otherwise specified)						
Trade balance (deficit −)	−9.2	−2.6	−3.5	−1.1	0.5	1.3	0.8
Current account (deficit −)	−18.1	−10.6	−12.1	−10.9	−11.7	−10.3	−10.3
Excluding official transfers	−29.7	−20.5	−19.4	−17.2	−15.5	−14.5	−14.4
Public external debt 1/	85.3	74.2	70.1	69.6	68.8	65.9	66.8
(in billions of CFA francs)	393.2	389.6	420.5	462.9	500.4	523.4	579.0
Debt service 2/	2.5	2.2	2.1	2.1	2.3	2.3	2.3
Debt−service ratio 2/ 3/	11.0	7.3	7.5	7.0	7.3	7.1	7.2
Gross official reserves (in billions of CFA francs)	59.5	90.1	110.9	119.7	131.3	139.3	146.9

Sources: BEAC; and staff estimates and projections.

1/ Stock of the direct and guaranteed public foreign debt (including the Fund).
2/ Excluding the Fund.
3/ In percent of exports of goods and nonfactor services.

Table 6. Chad: Monetary Survey, 1994–97

	1994	1995	1996						1997					
			March	June	Sept.		Dec.		March.		June		December	
			Act.	Act.	Prog.	Est.	Prog.	Est.	Prog.	Rev. Prog.	Prog.	Rev. Prog.	Prog.	Rev. Prog.
	(In billions of CFA francs)													
Net foreign assets	30.2	62.3	84.9	78.5	73.5	76.7	65.3	64.7	68.5	67.6	70.9	67.1	73.6	70.3
Central bank 1/	36.3	65.9	83.5	76.4	71.4	73.2	63.3	63.8	66.4	66.7	68.4	66.2	71.0	69.4
Commercial banks	–0.4	2.0	1.4	2.1	2.1	3.5	2.1	0.9	2.1	0.9	2.6	0.9	2.6	0.9
Postal debt	–5.6	–5.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Medium– and long–term liabilities	–0.7	–0.1	–0.1	–0.1	–0.1	0.0	–0.1	0.0	–0.1	0.0	–0.1	0.0	–0.1	0.0
Net domestic assets	49.8	45.6	37.3	47.8	48.6	43.5	57.2	64.5	69.2	83.9	63.0	89.1	62.7	77.3
Domestic credit	79.2	70.5	64.5	74.5	77.0	71.5	85.6	91.3	97.6	110.7	91.4	115.9	91.1	104.1
Claims on the government (net)	47.9	35.1	21.3	37.0	43.2	38.3	51.3	43.7	51.1	46.0	54.5	51.8	55.8	53.3
Treasury and CAA (net)	43.3	38.5	29.7	44.0	50.4	46.2	58.3	49.6	58.1	51.9	61.5	57.7	62.9	59.2
Central bank	44.9	38.0	42.4	52.6	55.4	52.2	59.8	55.1	59.6	54.9	63.0	58.5	64.4	60.0
Commercial banks	–1.6	0.5	–12.8	–8.6	–5.0	–6.0	–1.5	–5.5	–1.5	–3.0	–1.5	–0.8	–1.5	–0.8
Others	4.6	–3.4	–8.3	–7.0	–7.2	–8.0	–7.0	–5.9	–7.0	–5.9	–7.0	–5.9	–7.0	–5.9
Credit to the economy	31.3	35.4	43.2	37.6	33.8	33.3	34.3	47.6	46.6	64.7	36.9	64.1	35.3	50.8
Of which: crop credit	6.0	4.9	15.4	10.0	3.5	5.0	5.0	11.5	16.3	31.8	6.8	32.4	5.0	12.3
Other items (net)	–29.5	–24.9	–27.3	–26.7	–28.4	–28.0	–28.4	–26.8	–28.4	–26.8	–28.4	–26.8	–28.4	–26.8
Of which: revaluation account	–9.8	–9.8	–9.8	–9.8	–9.8	–9.8	–9.8	–9.8	–9.8	–9.8	–9.8	–9.8	–9.8	–9.8
Money and quasi–money	79.3	107.8	122.1	126.3	122.0	120.2	122.4	129.1	137.6	151.5	133.9	156.2	136.2	147.5
Currency outside banks 1/	56.3	76.6	92.3	94.9	89.1	92.3	89.4	99.3	99.1	120.4	95.0	120.5	95.4	109.9
Demand deposits	20.1	23.4	24.3	26.8	24.4	23.2	24.5	24.5	28.2	25.7	28.1	30.4	29.3	32.3
Time and savings deposits	2.9	7.9	5.5	4.5	8.5	4.7	8.6	5.4	10.3	5.4	10.7	5.4	11.6	5.4
	(Changes in percent of beginning–of–period money stock, unless otherwise specified) 2/													
Net foreign assets	66.8	40.5	21.0	15.0	10.4	13.3	2.8	2.2	2.5	2.3	4.6	1.9	6.7	4.3
Net domestic assets	0.2	–5.3	–7.7	2.1	2.8	–1.9	10.8	17.5	9.8	15.0	4.8	19.1	4.5	9.9
Domestic credit	14.8	–11.0	–5.5	3.7	6.0	1.0	14.0	19.3	9.8	15.0	4.8	19.1	4.5	9.9
Claims on the government (net)	8.1	–16.2	–12.7	1.8	7.5	3.0	15.0	8.0	–0.2	1.8	2.6	6.3	3.7	7.4
Treasury and CAA (net)	–1.4	–6.1	–8.2	5.1	11.1	7.2	18.4	10.3	–0.2	1.8	2.6	6.3	3.7	7.4
Credit to the economy	6.7	5.3	7.2	2.0	–1.5	–2.0	–1.0	11.3	10.0	13.3	2.1	12.8	0.8	2.5
Credit to the economy (annual change)	11.4	13.3	21.9	6.0	–4.6	–6.1	–3.1	34.3	35.7	36.0	7.5	34.7	2.7	6.8
Money and quasi–money	66.3	36.0	13.3	17.1	13.2	11.5	13.6	19.8	12.4	17.3	9.3	21.0	11.3	14.3
Currency outside banks	42.9	25.6	14.6	17.0	11.6	14.6	11.9	21.1	7.9	16.4	4.6	16.4	4.9	8.3
Demand deposits	22.0	4.1	0.9	3.2	1.0	–0.2	1.1	1.1	3.0	0.9	3.0	4.6	3.9	6.0
Time and savings deposits	1.4	6.3	–2.2	–3.1	0.6	–2.9	0.6	–2.3	1.4	0.0	1.7	0.0	2.5	0.0

Source: Data provided by the BEAC; and staff estimates and projections.

1/ Beginning in 1994, the central bank's foreign assets and currency outside banks are adjusted upward by including 50 percent of the amount of unsorted bills at the national BEAC agency.
2/ For the quarterly data, changes are cumulative.

Table 7. Chad: Summary Accounts of the Central Bank and the Commercial Banks, 1994–97

(In billions of CFA francs)

	1994	1995	1996 March Est.	1996 June Est.	1996 Sept. Prog.	1996 Sept. Est.	1996 Dec. Prog.	1996 Dec. Est.	1997 March Prog.	1997 March Rev. Prog.	1997 June Prog.	1997 June Rev. Prog.	1997 December Prog.	1997 December Rev. Prog.
Central bank (BEAC) 1/														
Net foreign assets	36.3	65.9	83.5	76.4	71.4	73.2	63.3	63.8	66.4	66.7	68.4	66.2	71.0	69.4
Assets	59.5	90.1	108.7	107.4	102.4	103.9	98.8	98.6	101.9	101.5	107.5	104.9	112.9	110.8
Liabilities	−23.3	−24.2	−25.2	−31.0	−31.0	−30.7	−35.5	−34.8	−35.5	−34.8	−39.2	−38.6	−41.9	−41.4
Net domestic assets	40.1	35.7	38.1	45.9	48.5	44.9	53.6	56.7	56.9	73.8	56.8	77.5	58.2	61.9
Net credit to government	44.9	37.7	42.3	52.3	54.9	52.0	59.5	54.8	59.3	54.6	62.7	58.2	64.1	59.6
Claims	48.5	49.7	49.9	56.4	57.3	56.9	61.8	62.1	61.6	61.9	65.1	65.5	66.4	67.0
Deposits	−3.6	−12.0	−7.7	−4.1	−2.3	−5.0	−2.3	−7.4	−2.3	−7.4	−2.3	−7.4	−2.3	−7.4
Claims on commercial banks	0.5	1.0	0.4	0.0	0.0	0.0	0.5	7.7	4.0	25.0	0.5	25.0	0.5	8.0
Other items, net	−5.3	−3.0	−4.6	−6.4	−6.4	−7.1	−6.4	−5.7	−6.4	−5.7	−6.4	−5.7	−6.4	−5.7
Revaluation account	−12.3	−12.3	−12.3	−12.3	−12.3	−12.3	−12.3	−12.3	−12.3	−12.3	−12.3	−12.3	−12.3	−12.3
Base money	64.1	89.3	110.8	111.8	107.7	108.5	104.6	108.2	111.0	128.2	112.9	131.4	116.9	119.0
Currency outside banks	56.3	76.6	92.3	94.9	89.1	92.3	89.4	99.3	99.1	120.4	95.0	120.5	95.4	109.9
Banks' deposits and cash holdings	6.4	10.1	17.1	15.0	16.7	13.4	13.3	7.4	10.0	6.3	16.0	9.4	19.7	7.6
Other deposits 2/	1.4	2.7	1.4	1.9	1.9	2.8	1.9	1.5	1.9	1.5	1.9	1.5	1.9	1.5
Commercial banks														
Net foreign assets	−0.4	2.0	1.4	2.1	2.1	3.5	2.1	0.9	2.1	0.9	2.6	0.9	2.6	0.9
Assets	5.9	4.9	4.8	6.1	6.1	8.4	6.1	5.5	6.1	5.5	6.6	5.5	6.6	5.5
Liabilities	−6.3	−2.8	−3.4	−4.1	−4.1	−4.9	−4.1	−4.6	−4.1	−4.6	−4.1	−4.6	−4.1	−4.6
Net domestic assets	19.1	19.7	12.7	14.7	14.5	10.4	18.6	29.8	30.8	49.4	21.1	51.0	19.5	37.7
Net credit to government	−2.5	−8.3	−20.9	−15.3	−11.7	−13.7	−8.2	−11.0	−8.2	−8.5	−8.2	−6.3	−8.2	−6.3
Claims	2.4	2.6	1.8	1.7	1.7	1.8	1.7	2.2	1.7	2.2	1.7	2.2	1.7	2.2
Deposits	−4.9	−10.8	−22.7	−17.1	−13.5	−15.5	−10.0	−13.3	−10.0	−10.8	−10.0	−8.6	−10.0	−8.6
Credit to the private sector	31.3	35.4	43.2	37.6	33.8	33.3	34.3	47.6	46.6	64.7	36.9	64.1	35.3	50.8
Of which: crop credit	5.1	4.9	15.4	10.0	3.5	5.0	5.0	11.5	16.3	31.8	6.8	32.4	5.0	12.3
Other items, net	−9.7	−7.5	−9.6	−7.5	−7.5	−9.1	−7.5	−6.8	−7.5	−6.8	−7.5	−6.8	−7.5	−6.8
Reserves	6.4	10.1	17.1	15.0	16.7	13.4	13.3	7.4	10.0	6.3	16.0	9.4	19.7	7.6
Central bank liabilities	−0.5	−1.0	−0.4	0.0	0.0	0.0	−0.5	−7.7	−4.0	−25.0	−0.5	−25.0	−0.5	−8.0
Medium– and long–term liabilities	−0.7	−0.1	−0.1	−0.1	−0.1	0.0	−0.1	0.0	−0.1	0.0	−0.1	0.0	−0.1	0.0
Revaluation account	−2.5	−2.5	−2.5	−2.5	−2.5	−2.5	−2.5	−2.5	−2.5	−2.5	−2.5	−2.5	−2.5	−2.5
Private sector deposits	21.4	28.3	28.2	29.2	30.8	24.9	30.9	28.0	36.4	29.1	36.7	33.9	38.7	35.7

Sources: BEAC; and staff estimates.

1/ Central bank's accounts include 50 percent of the amount of currency notes not yet sorted at the national BEAC agency.
2/ Financial institutions and public enterprises

Table 8. Chad: Indicators of Fund Credit and Debt Servicing, 1994–2005

	1994	1995	1996	1997	1998	1999	2000	2001	2002	2003	2004	2005
						(In percent)						
Outstanding Fund credit/Quota 1/	68.8	99.9	109.5	129.8	129.8	121.5	120.1	114.1	100.1	78.1	54.1	30.1
Outstanding Fund credit/GDP 1/	4.9	6.3	5.6	6.4	5.9	5.0	4.6	4.0	3.3	2.3	1.5	0.8
Outstanding Fund credit/Exports of goods and nonfactor services 1/	21.4	20.1	20.2	21.4	18.8	15.8	14.6	12.9	10.4	7.4	4.7	2.4
Debt service to the Fund/Exports of goods and nonfactor services 2/	−1.8	−2.2	−2.3	−3.7	−3.2	−1.3	−0.4	−0.8	−1.6	−2.2	−2.2	−2.0
Debt service to the Fund/Total debt service	13.8	23.3	23.8	34.2	30.4	15.3	4.8	10.8	18.1	22.9	23.9	23.3
Debt service to the Fund/ Gross official reserves	−3.1	−3.8	−3.5	−6.0	−5.5	−2.3	−0.7	−1.7	−3.3	−5.0	−5.6	−5.6
Total debt–service ratio 2/	−12.7	−9.5	−9.9	−10.7	−10.5	−8.4	−7.6	−7.8	−8.8	−9.6	−9.2	−8.7
Memorandum items:						(In millions of SDRs)						
Exports of goods and nonfactor services	132.7	206.7	224.2	250.4	285.9	316.9	339.9	364.8	399.2	436.9	474.1	514.7
Total Fund credit outstanding	28.4	33.0	45.2	53.6	53.6	50.2	49.6	47.1	41.3	32.2	22.3	12.4
Of which: net use of Fund credit	8.9	4.6	12.2	8.4	0.0	−3.4	−0.6	−2.5	−5.8	−9.1	−9.9	−9.9
Total debt service	16.9	19.6	22.1	26.8	29.9	26.7	25.7	28.6	35.2	42.1	43.6	44.6
Of which: IMF	2.3	4.6	5.3	9.2	9.1	4.1	1.2	3.1	6.4	9.6	10.4	10.4
Gross official reserves	74.9	119.0	149.3	151.6	165.4	174.3	182.9	177.6	194.4	192.8	185.6	185.2

Sources: IMF, Treasurer's Department; and staff estimates and projections.

1/ Oustanding Fund credit includes SAF/ESAF loans and outstanding purchases.
2/ Debt service in percent of exports of goods and nonfactor services.

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N'Djamena, May 5, 1997

Mr. Michel Camdessus
Managing Director
International Monetary Fund
700 19th Street, N.W.
Washington, D.C. 20431

Dear Mr. Camdessus:

1. On behalf of the Government of Chad, we have the honor to transmit to you the attached memorandum on economic and financial policies (MEFP). It briefly outlines progress in Chad's structural adjustment program, supported by the second annual arrangement under the enhanced structural adjustment facility, and describes in detail the measures to be undertaken by the government to address program weaknesses identified during the first six months of the program year.

2. As noted in the MEFP, several of the end-December structural performance criteria could not be observed; the reasons for the nonobservance of these criteria are contained in the paragraphs of the MEFP noted below. Thus the government requests waivers of the non-observance of performance criteria on the net domestic assets of the central bank (paragraph 12), domestic payments arrears (paragraph 6), external payments arrears (paragraph 6), the current fiscal balance (paragraph 8), the government wage bill (paragraphs 8 and 18), and the completion of the provisional report on the disengagement of the government from STEE (paragraph 14).

3. The government is convinced that the policies and measures described in the MEFP will make it possible to achieve program objectives. The government will provide the International Monetary Fund with any information requested regarding progress with implementation of these measures and will take any additional measures that may be necessary to achieve the objectives of the program.

Sincerely yours,

/s/	/s/
Bichara Cherif Daoussa	Yamtebaye Nadjitangar
Minister of Finance	Minister of Planning and Cooperation

Attachment: Memorandum on Economic and Financial Policies for 1997

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Memorandum of Economic and Financial Policies for 1997

May 5, 1997

1. During the period February 25-March 14, 1997, the Government of Chad and the Fund staff held the discussions for the midterm review of the program supported by the second annual arrangement under the Enhanced Structural Adjustment Facility (ESAF), covering the period July 1, 1996 to June 30, 1997. Together, they reviewed economic and financial developments in Chad during the first eight months of the program year, analyzed performance in relation to program targets, and reviewed the outlook for the remainder of 1997.

2. The primary objectives of the second annual program are a rapid recovery of the rate of economic growth, a substantial slowdown in inflation, and the strengthening of fiscal policy. The program also envisages the introduction of structural reforms in the parastatal sector and civil service, and stresses the importance of private sector development in achieving satisfactory and sustainable economic growth.

3. The government notes that while significant progress has been made to date under the ESAF-supported structural adjustment program, there were certain lapses in program implementation in the first half of the second program year. In this regard, the government reaffirms its determination to take the necessary measures that would enable it to achieve program objectives.

4. Preliminary data indicate that real GDP growth rose by 2.7 percent in 1996, well below the program expectations of 6 percent, mainly because of unfavorable climatic conditions. These led to a decline of 3 percent in the agricultural sector, which accounts for about 25 percent of total output. For the rest of the economy, growth is estimated to have reached 6 percent in the industrial sector, 8.9 percent in construction and public works, and 2.5 percent in the service sector.

5. Consumer prices rose by 10.5 percent during 1996 (December over December), for an annual rate of 11.3 percent, 1.3 percentage points higher than projected. This result reflected the effect of the drought on agricultural markets during the first half of the year, which led to an overall rise in prices of 13.5 percent. However, a decline in the level of prices during the second half of the year (2.7 percent) and the first quarter of 1997 (2.9 percent) suggests a return to a low inflation environment in 1997.

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6. Financial management in 1996 was characterized both by satisfactory performance on the revenue side of the budget and by weaknesses in expenditure management, notably significant overruns in some expenditure items. These overruns hampered fiscal consolidation, and only CFAF 9.6 billion in domestic arrears could be cleared, as against a program objective of CFAF 17 billion. Nevertheless, consistent with its initial objective of total clearance of the stock of external arrears, estimated at CFAF 22.1 billion at end-1995, the government cleared CFAF 18 billion of external arrears, CFAF 13 billion through cash payments. The CFAF 4.1 billion of arrears remaining at end-1996 consisted of CFAF 2.8 billion of obligations to non-Paris Club bilateral creditors who had not responded to Chadian requests to reschedule these debts. The balance of CFAF 1.3 billion was cleared during the first quarter of 1997.

7. Budgetary revenues in 1996 reached CFAF 59.6 billion. Although somewhat below program targets, this relatively good outturn reflected better control over taxation and some progress in nontax revenue collection. The improved performance in the area of taxation (an increase of 33 percent over 1995) resulted from the streamlining of various government financial agencies as well as a better coordination between their respective staffs. The government is aware, however, that collections of petroleum taxes (CFAF 2.9 billion), although higher than in 1995 (CFAF 2 billion), remain below target owing primarily to perturbations in the supply of imports throughout the year.

8. Current expenditure totaled CFAF 77.2 billion, against CFAF 74.4 billion in the program. Excluding demobilization expenditures, current expenditure was CFAF 7.5 billion above the program ceiling, owing to overruns in the wage bill (CFAF 0.8 billion), military expenditure (CFAF 3.6 billion), and expenditure on goods and services (CFAF 4 billion). In contrast, only 77 percent of appropriations for the health, education, social affairs, and public works sectors were committed, reflecting difficulties in the coordination between the government and donors in these priority sectors. As a result, the 1996 current fiscal deficit is estimated to have reached CFAF 17.6 billion (2.9 percent of GDP), compared with a program target of CFAF 12.4 billion (2 percent of GDP). With investment expenditure of CFAF 74.6 billion, the overall fiscal deficit, on a commitment basis, is estimated at CFAF 92.2 billion (15.4 percent of GDP).

9. Efforts to improve tax administration continued during the first eight months of the program year. Within the Tax Directorate, a large taxpayers unit (SDGE) was established in September 1996 and is now operational, and its branch operations at customs were strengthened, as was the system of unique taxpayer identifiers. Turnover tax management was improved, particularly by streamlining collection procedures and making them more flexible, and a mechanism for monitoring delinquent taxpayers was put in place. At the Customs Directorate, further organizational improvements were made, control of exemptions and conditional relief arrangements was strengthened, and the system of reference import values is now updated regularly.

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10. The government has introduced the tax measures envisaged in the program, which are described in paragraph 17 of the Memorandum of Economic and Financial Policies of September 30, 1996. These measures are intended to improve the collection of domestic revenues. However, the government has decided to postpone the introduction of the single business tax (*impôt synthétique*) to January 1998 (from July 1997), owing to the practical difficulties of replacing a variety of taxes with a yearly lump-sum tax in the middle of the fiscal year.

11. The government made a significant effort to improve the monitoring of budget operations. Quarterly reports prepared by the Treasury and Budget Directorates have proven to be very useful in summarizing and assessing budget execution, especially on the expenditure side. Moreover, for 1997, improvements were also made in the budget preparation process, particularly through better coordination between the Ministries of Finance and Planning, which permitted the introduction of a unified budget on January 1, 1997, incorporating both the operating budget and the public investment program (PIP). In addition, the inventory of cross-debts between the government and public enterprises and agencies was completed, and a report will be prepared indicating the modalities for clearing these debts, which are estimated at some CFAF 10.5 billion at end-December 1996. In addition, the state has other obligations to such enterprises amounting to some CFAF 6.1 billion.

12. The money supply rose by 19.8 percent in 1996, about 6 percentage points more than nominal GDP growth. The monetary expansion reflected a strong rise in domestic credit (19.2 percent in terms of beginning-of-period money) related to the 1996/97 cotton campaign, which was characterized by an exceptionally high level of output (30 percent higher than the previous crop year) and a 20 percent increase in the producer price. As a result, net foreign assets of the banking system increased by only 2.2 percent of beginning-of-period money. The end-December performance criteria on net domestic assets of the central bank could not be observed—the overrun of CFAF 4.8 billion being directly related to cotton credit, whereas the performance criterion on net credit to government was observed with a margin of CFAF 2.2 billion.

13. The external current account deficit (excluding official transfers) narrowed to 19.4 percent of GDP in 1996 from 20.5 percent in 1995, in spite of a deterioration in the terms of trade, estimated at some 4 percent. The balance of payments showed an overall surplus of 1.1 percent of GDP (CFAF 6.7 billion), particularly because of sizable capital inflows for public investment project financing (CFAF 74 billion). As a result, official international reserves are estimated to have expanded by CFAF 8.5 billion.

14. In 1996, the implementation of structural reforms was characterized by satisfactory progress in the privatization program, which resulted in the sale of four enterprises and the liquidation of two. All in all, 13 enterprises have been privatized and 4 enterprises liquidated since 1993. The provisional studies on the disengagement of the state from the cotton and electricity sectors were completed—the former as scheduled at end-December, and the latter

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with a two-month delay as a result of late delivery of the report by the consulting firm. A producer price mechanism for cotton for 1997 was adopted by the government. It is intended to ensure equitable sharing of the sector's profits and risks among COTONTCHAD, the government and producers, while reflecting the evolution of world prices. In the sugar sector, the import monopoly held by SONASUT was abolished as of January 1, 1997, and the enterprise was given temporary protection in the form of a reference price of CFAF 370/kg for imported sugar (compared with an average c.i.f. import price of CFAF 323/kg in 1996). The study on the government's divestiture of SONASUT was launched in early April 1997.

15. Following two consecutive years of stagnation in per capita real GDP growth, the economic prospects for 1997 appear favorable. GDP growth is projected at 6.2 percent, with inflation at 5 percent (December to December), reflecting a return to price stability. In order to achieve these objectives, the authorities are committed to implementing strict economic and financial policies, particularly by continuing to promote private initiative and by strengthening public finance management. The original 1997 budget projected revenues of CFAF 71.2 billion and current expenditure (excluding demobilization) of CFAF 73.1 billion, resulting in a current fiscal deficit (excluding demobilization) of CFAF 2 billion (0.3 percent of GDP), compared with CFAF 0.5 billion (0.1 percent of GDP) programmed. Considering the program targets for 1997, the government is determined to make up for the 1996 fiscal slippages and has therefore revised the 1997 budget, seeking to increase revenue to CFAF 74.3 billion while putting a ceiling of CFAF 70.2 billion on nondemobilization expenditures. To reach the new revenue objective, the government expects to mobilize: (a) additional receipts of CFAF 1.4 billion, as a result of the elimination of turnover tax (TCA) deductibility on transport, and the extension as of July 1, 1997 of the TCA to intermediate and retail sale activities; the continuation of the road tax collected by the national freight bureau (BNF) for the road maintenance account (CAER); (b) additional petroleum tax receipts in the amount of CFAF 0.6 billion, reflecting normal supplies of petroleum products and tighter customs control; (c) additional custom revenues of CFAF 1 billion, in connection with the tightening of the control on import exemptions. The government plans to attain the revised expenditure objective by expanding the array of measures contained in the budget law to bring the wage bill within the CFAF 30.5 billion program ceiling, as well as achieving savings on expenditures on goods and services in the amount of CFAF 1.9 billion (see paragraph 18). As a result, the new 1997 budget law, in effect since end-March, projects a current fiscal surplus of CFAF 4.1 billion (0.6 percent of GDP), excluding demobilization outlays.

16. The new 1997 revenue target, which exceeds the program target by CFAF 3.1 billion, is within the fiscal administration's reach, given: (a) the tax measures provided for in the program and introduced in the new budget law; (b) the implementation, as of July 1, 1997, of a budgetary control mechanism for import duty exemptions; and (c) the measures already in place to limit import exemptions of diplomatic personnel and the other personnel with

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equivalent status. Moreover, nontax revenue collections, which have been well below potential, will be strengthened. In particular, the government will step up collection efforts with respect to on-lent loans, and various registration stamps and duties, the rates of which have been increased, most between 50 percent and 100 percent.

17. The revised level of current expenditures (excluding demobilization) of CFAF 70.2 billion is CFAF 0.7 billion below the program ceiling and reflects the government's determination to strengthen public expenditure management, while maintaining the 20 percent increase in real terms in appropriations to the priority sectors such as education, health, and public works, particularly transportation infrastructure. With a reduction in the budget appropriations to other ministries of CFAF 2.0 billion, current primary expenditure is projected at CFAF 61.4 billion, or CFAF 1.2 billion less than in the original program.

18. The government has decided to take the necessary measures to ensure that the 1997 wage bill does not exceed the CFAF 30.5 billion program ceiling. To this end, it has extended the wage freeze to 1997 and introduced a freeze on the financial impact of advancements, without retroactive implications. Also, following the merger of the directorates in charge of the payroll and information systems, the payroll has been updated and fully computerized. Staff reductions in nonpriority sectors are envisaged in the first half of 1997, involving some 1,700 employees deemed to be inefficient or whose conduct is incompatible with their positions; by end-April 1,300 employees had already been discharged. The government will ensure that this operation does not have an adverse impact on the education and health sectors. Other savings on the wage bill will be achieved through a 50 percent across-the-board reduction in indemnities and cuts in the travel and mission budget. The government will monitor the implementation of these measures closely, with the objective of lowering the monthly wage bill, excluding expenditure on temporary employees and travel and mission outlays, to CFAF 2.35 billion beginning in April, from CFAF 2.47 billion in January-February, and CFAF 2.4 billion in March.

19. The government considers the annual budget appropriation of CFAF 9 billion for military expenditure, excluding demobilization, to be sufficient to cover the basic requirements of the Chadian army in terms of wages, equipment, and services. It is committed not to exceed these appropriations, and therefore has decided to introduce a system for the monthly control and monitoring of these expenditures by a newly appointed team of treasury officials. In addition, salary payments will be made directly to soldiers rather than on a lump-sum basis to company commanders.

20. The government has completed its military demobilization program with the enactment of decrees for the demobilization of 7,280 military personnel from the army. The first tranche of severance payments was completed on April 15, 1997, and payment of the second tranche is expected to begin in June 1997.

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21. The government expects to contain the current fiscal deficit at CFAF 3.8 billion at end-June 1997, as a result of revenues of CFAF 34.7 billion and current expenditure of CFAF 38.5 billion. With commitment on local investment expenditure projected at CFAF 2.5 billion, and a targeted reduction in domestic arrears of CFAF 14.8 billion, the financing gap for the first half of 1997 is estimated at CFAF 25.8 billion and is expected to be covered by the external financial assistance provided under the program. Also, adequate external financing appears to be available for the second half of 1997.

22. The government will continue to give the highest priority to strengthening public expenditure management and is committed to eliminating all expenditures outside normal budgetary channels. It will aim to improve the quality of the quarterly reports on the execution of the operating budget. These reports will henceforth serve as tools for public finance management, and will be supplemented by monthly bulletins on the budget outturn. The government will also ensure that similar quarterly reports on the physical and financial execution of the Public Investment Program (PIP) are prepared by the staff of the Ministry of Planning.

23. The government is determined to begin the reform of the civil service. To this end, a national commission has been appointed to coordinate and monitor the preparation and implementation of wide-ranging reforms with the assistance of the World Bank. This commission, headed by the Prime Minister, will outline the main objectives and features of this reform, including the implementation schedule. It has been agreed that the Chadian administration needs to lead this operation and, in association with public representatives, to prepare practical recommendations, particularly in the following areas: (a) recasting of the civil service laws and regulations; (b) definition of the ministries' functions and the work positions; and (c) improvement in the management of the civil service. The government intends to have the first recommendations in these three areas by end-December 1997.

24. The government will continue to follow closely the implementation of structural reform, and will strengthen measures in this area if necessary. In the cotton sector, studies and discussions undertaken to date have highlighted the timeliness of a thorough reform of the sector, centered on opening all segments of cotton sector to other entities and focusing the activities of COTONTCHAD on the basic tasks of ginning and exporting cotton fiber. To ensure that this reform can be carried out, a reinforcement of government regulatory expertise in this sector is indispensable. The government has prepared an action plan whose key elements are: (a) strengthening the government committee in charge of the cotton sector through the creation of a permanent technical support staff; (b) enlarging the committee to include cotton farmers together with other sectoral operators in discussions of cotton sector reform;(c) a government commitment to lifting the legal monopolies of COTONTCHAD on the purchase of cotton seed, on ginning, and on selling cotton fiber before end-June 1998. To this end, in consultation with its partners, the government will undertake all necessary actions, in particular, renegotiating COTONTCHAD's special tax convention and the shareholders' agreement. Furthermore, the practical modalities, including regulatory and juridical, of

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allowing entry into the sector will be defined before December 31, 1997, the date on which the government will announce the lifting of the legal monopoly; (d) elaborating, before end-1997, an action plan to disengage COTONTCHAD from oil and soap production and to privatize these activities in 1998. The government plans to put in place, with the aid of the World Bank, a pilot operation to have some village associations purchase inputs for the 1998/98 cotton season. The government will also pursue its program of restructuring COTONTCHAD's human resources and decentralizing the management of its ginneries.

25. The government has carefully reviewed the conclusions of the study on the modalities for its divestiture of the water and electricity company (STEE). It has elaborated a sectoral policy letter focused on: (a) the placement of STEE under private management before September 1997; (b) the implementation of an action program to rehabilitate and modernize its equipment; (c) the definition of modalities for collection of current claims on the government; and (d) the clearing of government arrears to the company, estimated to be CFAF 1.2 billion at end-December 1996.

26. The government will continue to monitor closely developments in the sugar sector, particularly the progress of the study on the government's divestiture of SONASUT. Delivery of the final report, for which the contract was signed at the beginning of April 1997, is scheduled for September 1997, so as to enable the government to begin implementing the study's recommendations in 1998. Besides, in the context of the third annual arrangement, the government will establish a timetable for the rapid removal of the reference price on sugar imports.

27. The government has adopted a sectoral policy letter for the telecommunications sector, which includes the elaboration of a new telecommunications code ensuring the opening of the sector to private operators. It plans to begin the process of the sector's restructuring in the second half of 1997.

28. The government is aware of the need to accelerate the pace of privatization, particularly that of the Hotel du Chari, the road repair company (SNER), and the slaughterhouse (AFF). Additional efforts are needed to privatize the Banque Tchadienne de Commerce et Dépôts (BTCD) and the Banque de Développement du Tchad (BDT). Following the advice of international consultants, the government has decided to concentrate its efforts on finding international partners to take over the BTCD, before initiating the same procedure for the BDT.

29. The government has made a constructive contribution to the drafting of the convention for the regional harmonization of exchange regulations, and will ensure, in cooperation with the other countries in the zone, that these regulations are consistent with Article VIII of the

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Fund's Articles of the Agreement. It has welcomed the comments and recommendations of the IMF specialized staff on the draft text prepared by the states and will work toward their incorporation in the final version of the convention. The government plans to present this to Parliament for ratification as soon as it is adopted by the states.

30. The government will ensure that Chad remains current on its external debt service and will endeavor to conclude debt relief agreements expeditiously with creditor countries that are not members of the Paris Club. It will also ensure that the Debt and Investment Directorate continues to prepare an accurate and regularly updated schedule of external debt service.

31. The government is aware that deficiencies in the statistical system hamper economic analysis and policy formulation. It will give higher priority to the production of reliable and consistent core indicators, including providing additional resources to key agencies responsible for collecting and producing economic data.

32. The updated quantitative benchmarks for end-March and end-June, shown in the attached table, include a new structural benchmark for end-June for the implementation of a mechanism for budgeting import duty exemptions in government contracts.

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Table 1. Chad: Quantitative and Structural Performance Criteria and Benchmarks for the Second Annual Arrangement Under the Enhanced Structural Adjustment Facility, July 1, 1996-June 30, 1997

(In billions of CFA francs)

		1996 End-June (Est. level)	Cumulative changes 1996 Dec. 31 Perf. crit. Revised	Actual	1997 March 31 Revised benchmarks	June 30
A.	Quantitative performance criteria and benchmarks 1/					
	Net domestic assets of the central bank (BEAC) 2/	45.9	6.0	10.8	27.9	31.6
	Net credit of the banking system to the government 2/ 3/	44.0	7.8	5.6	7.9	13.7
	Domestic payments arrears 4/	43.3	-8.3	-1.3	-1.3	-16.1
	External payments arrears 4/ 5/	35.8	-35.8	-31.7	-33.0	-35.8
	Of which: in cash		-3.8	-4.9	-6.2	-6.2
	External loans contracted or guaranteed by the government on nonconcessional terms: 6/					
	- less than 1 year's maturity 7/	0.0	0.0	0.0	0.0	0.0
	- all medium- and long-term loans	0.0	0.0	0.0	0.0	0.0
	Current balance 8/	-5.5	-6.9	-12.1	-19.3	-15.9
	Government wage bill 9/	15.2	14.7	15.6	23.5	31.0
	Monitored variable					
	Net domestic assets of the banking system	47.9	9.3	18.6	38.4	44.2
	Memorandum item:					
	Anticipated external program financing 10/	15.2	18.0	16.0	23.5	35.3
B.	Structural performance criteria					
	1. Completion of a provisional report on the disengagement of the government from COTONTCHAD					Observed.
	2. Completion of a provisional report on the disengagement of the government from STEE					Observed, with delay.
C.	Structural benchmarks					
	1. Establishment of the large taxpayer unit (National Sub-Directorate for large companies).					Done.
	2. Elimination of the reduced rate of the turnover tax.					Done.
	3. Completion of a study on different options for the disengagement of the government from the SONASUT.					Postponed (September 1997).
	4. Action plan on the disengagement of the government from COTONTCHAD.					Done.
	5. Implementation of the single business tax *(impôt synthétique)*.					Postponed (January 1, 1998).
	6. Adoption of the revised statutes of civil service.					Postponed (End-December 1997).
	7. Regular payments by the government to CNRT of civil servants' contributions withheld at source and regular payments by the government of its contribution to CNRT and CNPS as employer.					Done.
D.	New structural benchmark					
	1. Implementation of a mechanism for budgeting import duty exemptions included in government contracts.					End-June 1997.

1/ The principal adjusters in cases of shortfalls of external assistance are as follows: (a) shortfalls before end-1996 would lead to a postponement in the elimination of domestic payments arrears up to the amount projected in 1996; (b) for larger shortfalls, external payments arrears would be postponed. In the case of a level of domestic tax revenue or external financing higher than programmed, one half of the excess would be used to increase the settlement of payments arrears and the other half to reduce net credit of the banking system to the government.
2/ May be adjusted in line with the contingency provision in footnote 1 above.
3/ The ceiling will be adjusted upward (downward) to the extent that the amount actually disbursed under the special bank account for military demobilization is higher (lower) than the amount envisaged by the program (i.e., CFAF 2 billion as of end-September 1996, and CFAF 5 billion as of end-December 1996).
4/ No new accumulation of arrears is allowed, with the exception of external debt- service payments for which a rescheduling is foreseen. The reduction in domestic and external payments arrears may be affected by the availability of external financing (see footnote 1 above).
5/ The stock of arrears at end-June 1996 includes debt to Kuwait, which was not recognized earlier; cash payments figures have been corrected to reflect CFAF 7.5 billion payments in the first half of 1996.
6/ Any loan with a grant element of less than 35 percent. The discount rates used in the calculation of concessionality are six-month averages of the OECD CIRRS (for loans with maturities up to 15 years) and ten-year averages of the CIRRS (for loans with maturities exceeding 15 years), augmented by a margin related to the repayment period.
7/ Excluding (a) normal import-related credits, on a disbursement basis; and (b) the government's share of the financing of oil projects in Doba and Sedigui (amount still under discussion).
8/ Commitment basis.
9/ Nonmilitary wages on a commitment basis.
10/ Including nonproject grants and loans, excluding the Fund.

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Chad - Relations with the Fund
(As of April 30, 1997)

I. **Membership Status**: Joined July 10, 1963; Article VIII

II. **General Resources Account**:

	SDR million	Percent of quota
Quota	41.30	100.0
Fund holdings of currency	51.35	124.3
Reserve position in the Fund	0.28	0.7

III. **SDR Department**:

	SDR million	Percent of allocation
Net cumulative allocation	9.41	100.0
Holdings	0.11	1.2

IV. **Outstanding Purchases and Loans**:

	SDR million	Percent of quota
Stand-by arrangements	10.33	25.0
SAF arrangements	9.49	23.0
ESAF arrangements	24.78	60.0

V. **Financial Arrangements**:

Type	Approval Date	Expiration Date	Amount Approved (SDR million)	Amount Drawn (SDR million)
ESAF	9/01/95	8/31/98	49.56	24.78
Stand-by	3/23/94	3/22/95	16.52	10.33
SAF	10/30/87	10/29/90	21.42	21.42

VI. **Projected Obligations to the Fund**: 1/ (SDR million; based on existing use of resources and present holdings of SDRs):

	Overdue	Forthcoming				
	04/30/97	1997	1998	1999	2000	2001
Principal	--	7.6	8.3	3.4	0.6	2.5
Charges/interest	--	0.8	0.8	0.5	0.5	0.5
Total	--	8.4	9.1	3.9	1.1	3.0

1/ The projection of charges and interest assumes that overdue principal at the report date (if any) will remain outstanding, but that forthcoming obligations will be settled on time.

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Chad - Relations with the Fund (concluded)

VII. Exchange Rate Arrangement

Chad is a member of the Central Bank of the Central African States (BEAC). The exchange system, common to all members of the BEAC, has been free of restrictions on payments and transfers for current international transactions. Repurchase of the CFA franc bank notes exported outside the BEAC was suspended on August 2, 1993. The BEAC common currency is the CFA franc, which is pegged to the French franc. Effective January 12, 1994, the CFA franc was devalued by 50 percent in foreign currency terms, and the exchange rate was adjusted from F 1 = CFAF 50 to F 1 = CFAF 100. On January 31, 1997, the rate of the CFA franc, in terms of the SDR, was CFAF 769.23 = SDR 1.

VIII. Article IV Consultations

(a) Chad is on the standard 12-month consultation cycle.

(b) The last discussions for the 1996 Article IV consultation were held in N'Djaména during the period February 21-March 6, 1996. The staff report (EBS/96/70) was discussed by the Executive Board on May 22, 1996 (EBM/96/49). A background paper (SM/96/111) was also circulated to the Board.

IX. Technical Assistance

1988: FAD mission on the preparation of a tax reform program.
1989: FAD mission on the preparation of a tax reform program.
1990: FAD mission for reviewing implementation of the tax reform program.
1991: FAD mission for reviewing implementation of the tax reform program.
1994: FAD mission for assessing weaknesses in customs administration and recruitment of an expert responsible for strengthening customs administration.
October 1994-October 1995: FAD Resident expert to strengthen customs administration.
1996: FAD mission for reviewing the tax reform program (introduction of the turnover tax, strengthening of the tax administration).

X. Resident Representative

None.

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Chad - Relations with the World Bank Group

At the beginning of the Bank's support of structural adjustment in Chad, a Financial Rehabilitation Credit (FRC) was approved in July 1988. The objectives of the program were to re-establish the financial profitability of the cotton sector and to strengthen policy reforms in public finances. However, owing to the deteriorating fiscal performance, the FRC was suspended in July 1991. The residual balance was canceled in December 1992 and the credit was closed.

The Bank's medium-term goal is to work with Chad toward an approach of managing development in which external assistance is pooled in support of an integrated national program which is adequately poverty-focused. The foundation for this is being laid in an interim strategy for 1996-98, which seeks to help Chad restore minimum critical public sector capacity; focus public expenditures on poverty reduction; and promote sustainable use of natural resources.

The Bank's strategy for Chad supports investments in the productive sectors (agriculture, livestock, and energy) as well as transport infrastructure and the social sectors (health, education). In 1994, particular emphasis has been given to the support of the devaluation with a US$20 million Economic Recovery Credit (ERC) and the development of human resources and the strengthening of economic management (GEF). A structural adjustment credit (SAC) of US$30 million was approved in early 1996 in support of the Chadian structural adjustment program.

A. Statement of IDA Credits
(As of May 12, 1997)

(In millions of U.S. dollars)

Credit No.	Fiscal Year	Purpose	IDA	Undisbursed
Cr.21560	1990	Social Development Program	13.40	0.04
Cr.21840	1991	Engineering	11.00	5.26
Cr.25010	1993	Basic Education	19.30	15.19
Cr.25200	1993	Transport Sector II	37.00	1.2
Cr.26140	1994	Public Works and Capacity Building (ATETIP)	17.4	11.5
Cr.26260	1994	Health and Safe Motherhood	18.5	8.34
Cr.21561	1995	Social Development Program	9.80	1.91
Cr.25201	1994	Transport Sector II	12.70	9.44
Cr.26850	1995	Agricultural Services	24.53	19.95
Cr.26920	1995	Population and Aids	20.40	15.73
Cr.28180	1996	Capacity Building	9.50	7.00
Cr.28170	1996	SAC I	30.00	0.0

Total number of credits = 12	
Total credit held from the Bank and IDA	565.32
Of which: repaid	10.15
Total now held by the Bank and IDA	555.17

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Chad - Relations with the World Bank Group (concluded)

B. Statement of IFC Investments

Chad became a member of IFC in February 1996.

C. Activities Under Preparation

In 1997, the World Bank is continuing its technical assistance program (Capacity Building Project for Economic Management). A second structural adjustment credit (SAC) will be submitted for approval shortly. The SAC operations accompany the ESAF-supported program of the Fund. A household energy project in the amount of US$6 million will go to the Board this calendar year. Work on public expenditure review focusing on education will continue throughout the year. Finally, support to the Chad/Cameroon Petroleum Pipeline Project is under consideration.

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Chad - Statistical Issues

Chad's statistical system is weak and suffers from a shortage of financial and human resources. The compilation of national statistics is decentralized at various ministries, and a coordination office (Direction des Statistiques et des Etudes Economiques et Démographiques, DSEED) is in charge of the national accounts and the consumer price index. The BEAC is responsible for monetary statistics and the balance of payments. The consumer price index is published bi-weekly and other data are disseminated as they become available.

There has been no noticeable improvement since the last Article IV consultation, with regard to the quality, coverage, and timeliness of statistical data. The authorities have expressed a strong interest in reforming the statistical system but lack the resources—both human and financial—to do so. They have requested technical assistance from donors, including the Fund. The country's technical assistance needs in statistics were recently assessed by a World Bank team; a report on this issue will be available shortly.

1. Real sector

There are still substantial problems with the source data for the national accounts and the CPI, owing to the poor quality of the output volume and producer price indices, which date back to 1977 and 1983, respectively. The CPI is also obsolete, with its weights dating back to 1972. In addition: (a) coverage of agricultural surveys is insufficient, with data referring mostly to the Sudan zone; data on the Sahel zone are sketchy and sometimes unreliable; (b) no data are collected on the informal sector; and (c) domestic demand estimates are weak, as no comprehensive survey has been undertaken in recent years on private investment, and no progress was made with regard to the evaluation of the share of fixed investment in the public investment program.

A reestimation of Chad's national accounts has been completed recently by a UNDP expert, based mainly on the results of a household consumption survey (ECOSIT) undertaken in 1996. A new base for the CPI has also been established on the basis of this survey. Validation of the new national accounts by the authorities is expected for mid-1997. To that end, the basic training requirements to enable the DSEED staff to follow upon the more comprehensive new national accounts methodology have been assessed by the recent World Bank technical assistance mission, and a training program is expected to be put in place by end-1997.

2. Public finance

The authorities are making efforts to improve the quality and timeliness of data and intend to resume reporting of data to *IFS* and *GFSY* as soon as possible. There has been no progress on broadening the current scope of coverage of government operations to the social security agencies and other government agencies. In contrast, compilation of a quarterly consolidated government operations table is well advanced.

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Chad - Statistical Issues (concluded)

3. Monetary sector

Monetary data published in *IFS* are based on reports to STA by the Banque des Etats de l'Afrique Centrale (BEAC). While data have been provided on a regular basis, there is a need to shorten the time in which they become available. The May issue of *IFS* included data through only November 1996. Monetary data are still hampered by the large number of unsorted BEAC notes at the national agency of the central bank. In coordination with Fund staff, the definition of the central government in the banking system's net claims on government has been made consistent with the coverage of government in the consolidated government operations table.

4. Balance of payments

The quality of balance of payments statistics is poor because of the lack of resources devoted to this task by the BEAC (only one person and not on a full-time basis). In addition, data continue to be compiled with long delays; compilation of the balance of payments for the year 1995, in accordance to the fifth edition of the Fund's manual, is still under way. Even considering the difficulty of collecting data on informal trade between Chad and its neighboring countries, many improvements could be made on items such as imports (following resumption of import data collection by the customs), noncotton exports, freight, and public transfers. Coordination with the DSEED should also be strengthened. In particular, the results of ECOSIT could be used to improve estimates of informal trade.

Survey of Reporting of Main Statistical Indicators

(As of end-April 1997)

Country: **CHAD**

	Exchange rates 1/	International reserves	Reserve/ base money	Central bank balance sheet	Broad money	Interest rates	Consumer price index	Exports/ Imports	Current account balance	Current government balance	GDP/GNP	External debt
Date of latest observation	--	Feb. 1997	Feb. 1997	Feb. 1997	Feb. 1997	April. 1997	March 1997	Dec. 1996	Dec. 1996	March 1997	1996	March 1997
Date received	--	April 1997	April 1997	April 1997	April 1997	April 1997	April 1997	March 1997	March 1997	April 1997	March 1997	March 1997
Frequency of data	--	Monthly	Monthly	Monthly	Monthly	--	Monthly	Annual	Annual	Monthly	Annual	Monthly
Frequency of reporting	--	Every other month	Every other month	Every other month	Every other month	Immediately after changes	Monthly	Annual	Annual	Monthly	Annual	Monthly
Source of data	--	Central bank	Central bank	Central bank	Central bank	Central bank	Ministry of Plan	Central bank	Central bank	Ministry of Finance	Ministry of Plan	Ministry of Finance
Mode of reporting	--	Fax or mission in the field	Fax or mission in the field	Fax or mission in the field	Fax or mission in the field	Fax	Fax or mission in the field	Mission in the field	Mission in the field	Fax or mission in the field	Fax or mission in the field	Fax or mission in the field
Confidentiality	--	C	C	C	C	C	C	C	C	C	C	C

1/ The CFA franc is pegged is to the French franc.

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Chad - Social Indicators, 1996

Population	6.5 million
Growth rate of population	2.5 percent a year
Life expectancy	47.9 years
Fertility rate	5.8 births per woman
Infant mortality	120 per thousand
Under five mortality	206 per thousand
Child malnutrition (under five)	35 percent of age group
Access to safe water	29 percent of population
Population per physician	29,412 persons
Population per nurse	3,396 persons
Population per hospital bed	1,345 persons
Immunization (DPT)	18 percent
Primary school enrollment	65 percent
Female	41 percent
Male	89 percent
Secondary school enrollment	7 percent of age group
Illiteracy rate (age 15+)	70 percent
Newspaper circulation	0.3 per thousand
GNP per capita	US$180

Source: World Bank, *Social Indicators of Development, May 1995*.